Apartment Development Market Feasibility Study

Stewart Team Real Estate

Site: Catherine Street
Richards Landing, St. Joseph Island, Ontario

Prepared For: Stewart Team Real Estate
25-0024

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SVN Rock Advisors Inc.

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1 – EXECUTIVE SUMMARY

SVN Rock Advisors Inc. (the "Consultant") conducted a Market Feasibility Study comprising of a demographic, demand, and competitive market analysis to assess the viability of developing a multi-residential development in Richards Landing, Ontario.

Site Location	Strong
Population Growth	Moderate
Age Profile	Older
Household Affordability	Strong
Demand	Under-Supplied
Competition	Limited
Vacancy	Average Vacancy

Executive Summary

Source: SVN Rock Advisors

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Site Location & Proposed Development

The proposed development is located at Catherine St. and Littleton St., in Richards Landing, The Township of St. Joseph, Ontario. The site is intended to be redeveloped into a 4-storey residential apartment, a 3-storey residential apartment, a 2-storey walkout basement townhouse development, and two 1-storey townhouse developments that in total accommodate 169 purpose-built rental units. The surrounding neighbourhood offers a thorough amenity offering including local parks, a grocery store, trails, and the Richard's Landing Municipal Marina all available within proximity to the subject site. These local amenities are valued by prospective tenants which will contribute to the potential success of a new multi-residential development at the subject site.

Market Segmentation

The proposed development is further supported by modest but positive demographic trends and policy alignment. While the broader region of Sault Ste. Marie is projected to experience a population decline of 1,712 persons (-2.2%) between 2024 and 2034, the immediate neighbourhood surrounding the subject site is expected to see a population increase of approximately 70 persons (0.9%). This localized growth, although

modest, signals sustained demand and a high degree of desirability, reinforcing the suitability of this site for new rental housing. Additionally, the St. Joseph Island Official Plan directs residential growth to established settlement areas such as Richards Landing and encourages appropriate intensification that is compatible with existing character. The Plan also recognizes the role of recreational and seasonal housing in supporting the Island's economy, further supporting a diversified residential offering. Together, these factors suggest that the proposed development is well aligned with both demographic demand and municipal planning objectives, positioning it for long-term success.

Household Demographics

High proportions of seniors/empty nesters (ages 55-74) and young adults (ages 25-34) are considered positive indicators for rental apartments as these age groups have a higher propensity to rent than other age groups. The neighbourhood surrounding the subject site consists of a predominantly older age profile. Once children move away from home, many older couples and lone-parent households look to downsize from their single-family homes in search for housing accommodations with less maintenance. As such, many empty nesters enter the rental market for the professional property management and security of tenure that it provides. This is a positive indicator, suggesting that the neighbourhood contains beneficial attributes for the success of a potential rental apartment development.

Household Affordability

Approximately 11.9% of households in the local neighbourhood can afford rents between $2,500-$3,125 per month, whereas 34.8% can achieve rents greater than $3,125 and earn household incomes greater than $125,000. Similarly, 9.9% of households in broader Richards Landing can afford between $2,500-$3,125, whereas 29.6% can achieve rents greater than $3,125. This signifies that households in the nearby market have the financial capacity to meet the premium rates associated with a luxury multi-residential development.

Average Income

Household incomes in the local neighbourhood are strong, with 46.7% of neighbourhood households earning over $100,000 annually, compared to 39.6% in broader Sault Ste. Marie. The neighbourhood that surrounds the Client's proposed development has strong incomes, with a high proportion of households earning more than $100,000 annually. This is a positive indicator for the Client as it suggests there is a large pool of prospective higher-end renters already living in proximity to the subject site.

Demand Analysis

Sault Ste. Marie is under-supplied with rental product with 6.62 rental apartments per 100 people. Additionally, demand remains strong for the rental apartments with 54% of renters renting from the secondary market. This

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is indicative of an under supplied market with significant room to build and absorb new rental product. It likely indicates that when new apartment product is brought to market, it will likely experience few issues with lease-up and absorption.

Competitive Market Analysis

Sault Ste. Marie as a rental market has an average monthly rent of $1,104 across all unit types as recorded by CMHC, however rents being achieved by both secondary market rentals and new purpose-built rental apartments in Sault Ste. Marie and/or comparable markets, are much higher (please refer to our full Competitive Market Analysis section). This suggests that newly built rental stock in the Sault Ste. Marie area will achieve higher rental rates than the CMHC average market rents. When compared to other benchmark municipalities, Sault Ste. Marie achieves some of the lowest vacancy rates at 1.8%. This suggests that when brought to market, new purpose-built rental apartment product is not likely to experience any significant issues with lease-up and absorption as there is demand for newly developed purpose-built rental product.

Recommended Unit Sizing, Mix and Achievable Rents

The following tables present recommendations concerning the progress of the proposed development at Catherine St. in Richards Landing, encompassing the total number of units, suitable unit composition and sizes, attainable monthly rents (and rents per square foot), suggested allocation of amenity space and approved uses, as well as parking allocation and associated fees. A comprehensive explanation can be found in subsequent sections of the report.

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	UNIT MIX, SIZING, AND RENTS				
	Unit Count	Unit Mix	Avg SF	Avg Rent	Avg Rent/SF
Bachelor (10% Affordable)	17	10.1%	750	$553	**$0.74**
1-Bed	16	9.5%	750	$1,850	**$2.47**
2-Bed	62	36.7%	1,049	$2,450	**$2.34**
3-Bed	14	8.3%	1,281	$2,575	**$2.01**
3-Bed + Den	13	7.7%	984	$2,375	**$2.41**
4-Bed	34	20.1%	1,312	$2,650	**$2.02**
4-Bed + Den	13	7.7%	1,435	$2,750	**$1.92**
TOTAL	**169**	**100.0%**	**1,087**	**$2,270** **$2,400***	**$2.07** **$2.21***

	AMENITIES
Amenity List	Lobby/Lounge | Fitness Centre | Party Room w/ Kitchenette | Games Room | Outdoor Lounge | Outdoor Fire Pit | Outdoor BBQ
Total Amenity SF	8,954

	PARKING AND STORAGE	
	Unit Count	Monthly Fee
Underground Parking	-	-
Surface Parking	269	$50
Visitor Parking	-	
Storage Lockers	70	$35

Key Unit Recommendations

Source: SVN Rock Advisors

*Avg Rent and Avg Rent PSF at Market Rents (no affordable units)

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Estimated Market Value at Stabilization – Based on Market Rents

ESTIMATED VALUATION	Residential CAP Rate	Est. Market Value Per Unit	Est. Market Value Per SF	Est. Market Value
Market Value @	5.50%	$401,500	$369	**$67,851,000**
Market Value @	6.00%	$368,000	$338	**$62,196,000**
Market Value @	6.50%	$339,700	$312	**$57,412,000**

Estimated Market Value with Market Rents at Stabilization

Source: SVN Rock Advisors

Estimated Market Value at Stabilization – Based on 10% Affordable Units

ESTIMATED VALUATION	Residential CAP Rate	Est. Market Value Per Unit	Est. Market Value Per SF	Est. Market Value
Market Value @	5.50%	$378,500	$348	**$63,961,000**
Market Value @	6.00%	$346,900	$319	**$58,631,000**
Market Value @	6.50%	$320,200	$294	**$54,121,000**

Estimated Market Value with 10% Affordable Units at Stabilization

Source: SVN Rock Advisors

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2 – SWOT ANALYSIS

The following section includes a SWOT analysis outlining the significant strengths, opportunities, weaknesses, and potential threats associated with the subject site as a rental development property. Each point will be further elaborated in detail within the report.

STRENGTHS

- Limited competition in surrounding neighbourhood.
- Proximity to natural amenities - parks, walking trails, shoreline.
- Under-supplied rental market.

WEAKNESSES

- No weaknesses identified at this time.

OPPORTUNITIES

- Opportunity to become a market leading development in the local market.
- Opportunity to fill a gap in the rental market.
- Opportunity to capitalize on a gentrifying market.
- Opportunity to market new, high quality rental product to local and regional high-income households.
- Opportunity to serve an under-served rental market.

THREATS

- No threats identified at this time.

SWOT Analysis

Source: SVN Rock Advisors

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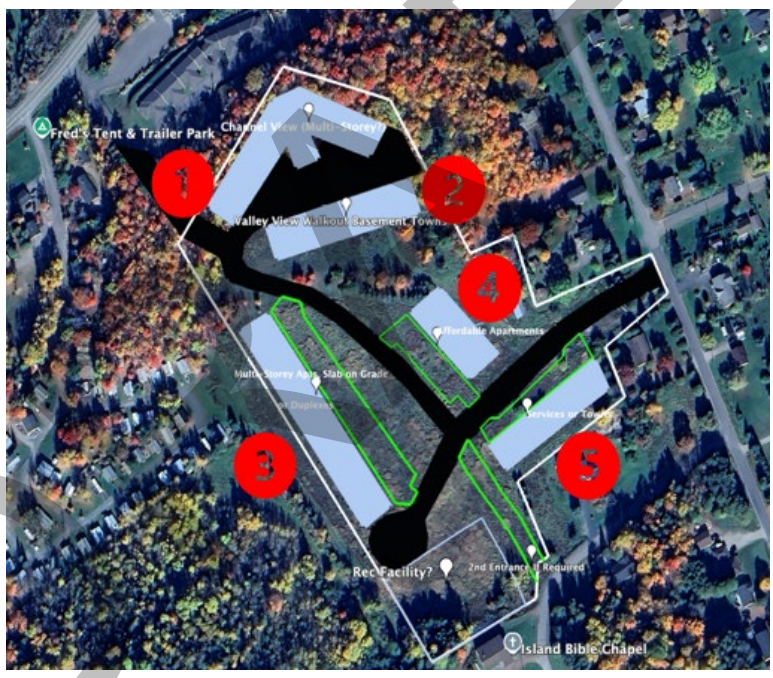
3 – SUBJECT SITE

Subject Site

The proposed development is located at Catherine St., at the intersection of Catherine St. and Littleton St., in Richards Landing, Ontario. The subject site is currently occupied by greenfield uses and is intended for redevelopment. The site is intended to be redeveloped into a 4-storey residential apartment, a 3-storey residential apartment, a 2-storey walkout basement townhouse development, and two 1-storey townhouse developments that in total accommodate 169 purpose-built rental units, 60 being townhouse units and 109 being apartment units.



Subject Site Map

Source: SVN Rock Advisors w/ Google Earth (2025)

For clarity throughout this report, each building has been assigned a reference number. Building 1 refers to the 4-storey residential apartment; Building 2, the 2-storey walkout basement townhouses; Building 3, the first 1-storey townhouse block; Building 4, the 3-storey residential apartment; and Building 5, the second 1-storey townhouse block.

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Local Amenities

The subject site, situated in Richards Landing, is in proximity to moderate local amenities, including local parks, restaurants, a grocery store, trails and the shoreline of the North Channel of Lake Huron. The following map illustrates the broad amenity offering within the area surrounding the subject site. The subject site is well-positioned as a site for purpose-built rental development.

Local Amenity Map

Source: SVN Rock Advisors w/ Google Earth (2025)

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4 – MARKET DELINEATION

"Is this neighbourhood suitable for a new rental development?"

Developers often inquire about the suitability of a neighbourhood for a new rental development. It's important to consider that while the immediate neighbourhood will contribute residents, the broader municipality will also play a role. The degree to which the new development will attract residents from the broader municipality hinges on the amount of rental development in the subject neighbourhood and the overall desirability of the area.

This section examines the current demographics of the subject neighbourhood, comparing them to similar cities. The emphasis is placed on the demographic indicators that are most pertinent to new purpose-built rental development.

Data are sourced from CMHC (2024) and Demostats (2025). The data are analyzed in-house at the following scales:

Municipal Scale

The subject market has been compared to various benchmark municipalities. Including these benchmark municipalities is valuable for contextualizing economic and housing trends beyond the subject municipality itself.

Trade Area Scale

Data for the subject trade area, which is defined by a series of census tracts surrounding the subject site, has been compared to the subject market (benchmark) to provide contextual information on their relative demographic composition.

The following benchmark settlements for comparison include Eco Bay, St. Josephs Island & Bruce Mines, Sault Ste. Marie (CY), Barrie (CY), Thunder Bay (CY), Greater Sudbury / Grand Sudbury (CMA), Timmins (CY), North Bay (CY), and Elliot Lake (CA).

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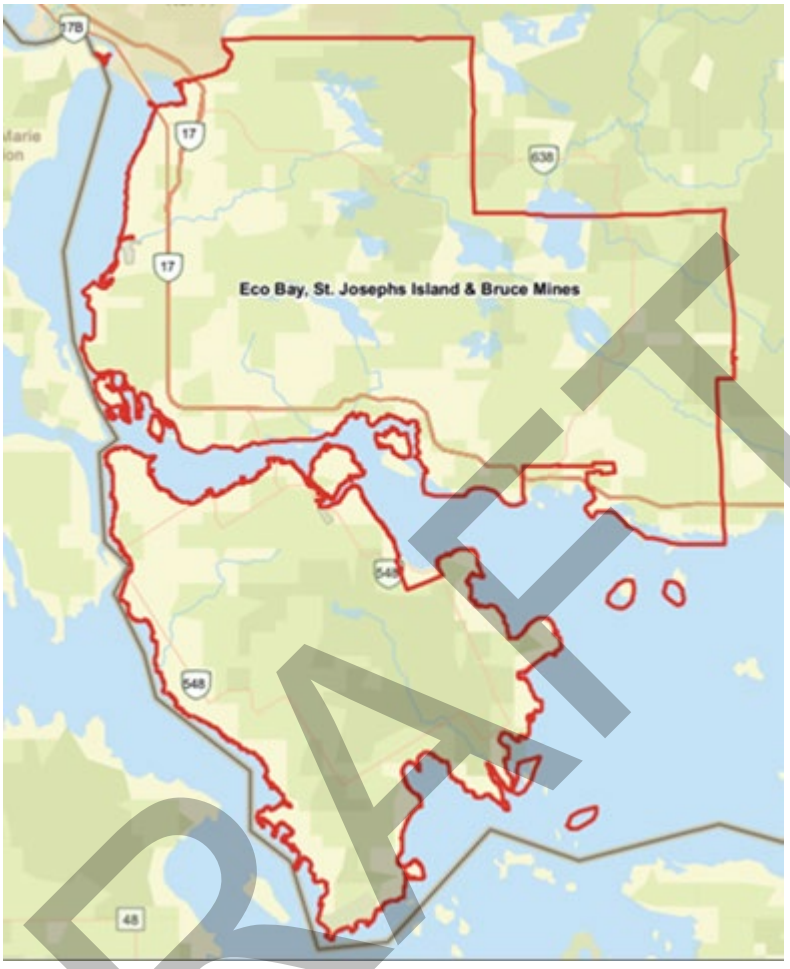

Trade Area Market Delineation Map

Region

Source: SVN Rock Advisors w/ Environics (2024)

The Trade Area of Echo Bay, St. Joseph Island and Bruce Mines is characterized by:

- Tourism, scenery, seasonal homes, cultural festivals which draw visitors and support local businesses
- Agriculture and Production, including maple syrup production and small-scale farming, local markets
- Transportation, including marinas and proximity to major highways, which facilitate the movement of goods and people

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Catchment Area Market Delineation Map

City

Source: SVN Rock Advisors w/ Environics (2024)

Sault Ste. Marie's Trade Area encompasses the city itself and extends to neighboring regions within a drive time of approximately 100 to 260 minutes, covering distances from 140 km to 400 km. This expansive reach positions the city as a central node for commerce and services in the region. Sault Ste Marie's economy is multifaced, with the key sectors including:

- Health Care and Social Assistance
- Retail Trade
- Manufacturing

The City is home to major employers such as Algoma Steel, Tenaris Algoma Tudes and the Ontario Lottery & Gaming Corporation.

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5 – MARKET SEGMENTATION

"What is the tenant base of the subject neighbourhood?"

In this section, an analysis has been conducted on the economic and demographic attributes of potential tenants in both the surrounding neighbourhood and the wider region. The data used for this section has been sourced from Demostats (2025). The demographic profile of each geographical area, including the total population size and population changes, offers a general indication of the demand for rental apartment units. Population size refers to the total count of individuals within a specific geographic area as recorded during the last census. Understanding the population size is crucial when considering new rental apartment developments, as a larger population naturally corresponds to a higher number of renters.

	Eco Bay, St. Josephs Island & Bruce Mines (Region)	Sault Ste. Marie (City)
	POPULATION GROWTH	
Level of Growth	Moderate	Decline
New Residents (2024-2034)	70	(1,712)
% Growth (2024-2034)	0.9%	(2.2%)
	CATEGORIZATION	
Age Profile	Older	Mixed
Household Types	Strong Couples Cohort	Strong Lone Person Cohort
Transportation To Work	Car-Dominated	Car-Dominated
Educational Attainment	Well Educated	Well Educated
Occupations	White Collar Occupations	White Collar Occupations

Market Segmentation Summary

Source: SVN Rock Advisors w/ Environics (2025)

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Key Takeaways

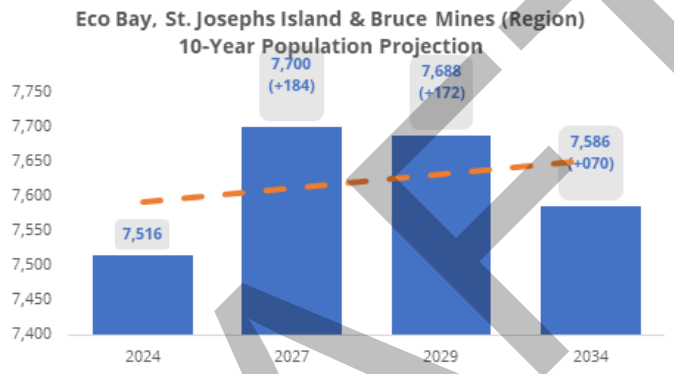
1. Moderate population growth within the community indicates that the subject site neighbourhood is favourable for prospective residents which will likely lead to the continued growth of housing demand.

2. The subject site's neighborhood consists of a mixed age demographic with an overrepresentation in seniors/empty nesters. Sault Ste. Marie also consists of an older population. In terms of household types, the subject site neighborhood consists of more family households than broader Sault Ste. Marie.

5.1 – Population Growth 2024-2034

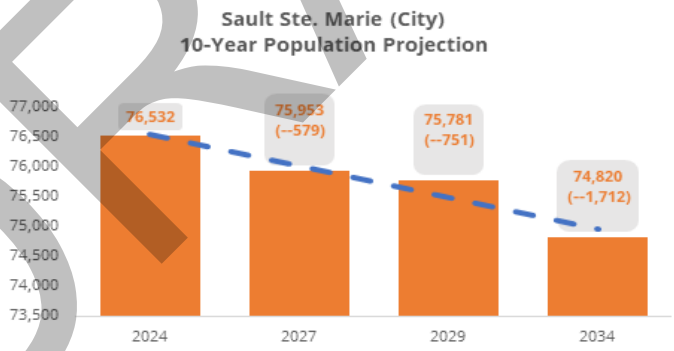
MODERATE POPULATION GROWTH WILL BENEFIT NEW DEVELOPMENT

Strong population growth is considered a positive indicator for the success of new rental apartments since it helps indicate if overall demand for housing of all types is increasing, and if growth is sufficient to support the addition of new rental apartments to the local housing supply.



Trade Area: 10-Year Population Growth Projection

Source: SVN Rock Advisors w/ Environics (2025)



Catchment Area: 10-Year Population Growth Projection

Source: SVN Rock Advisors w/ Environics (2025)

Between 2024 and 2034, the population of the Sault Ste. Marie area is expected to decrease by 1,712 residents (-2.2%). During this time, the trade area surrounding the subject site is expected to increase by approximately 70 residents (0.9%). While populations are not growing significantly, it should be noted that the projected growth does not account for the influx of new residents that occur when new developments enter the market – and as such are based only on historic trends. It is possible that the projected population growth will exceed those identified here.

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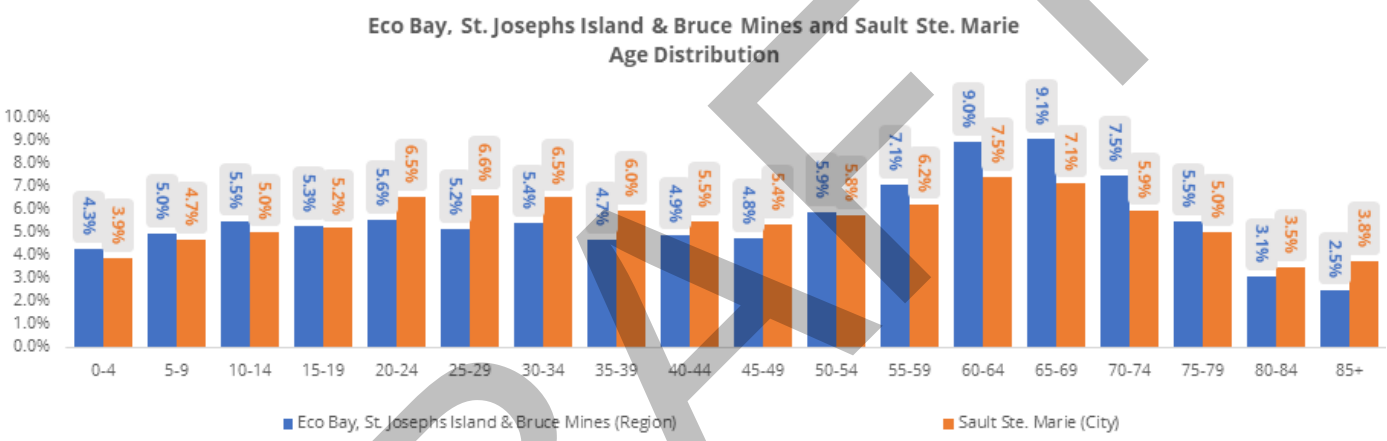
5.2 – Age Profile

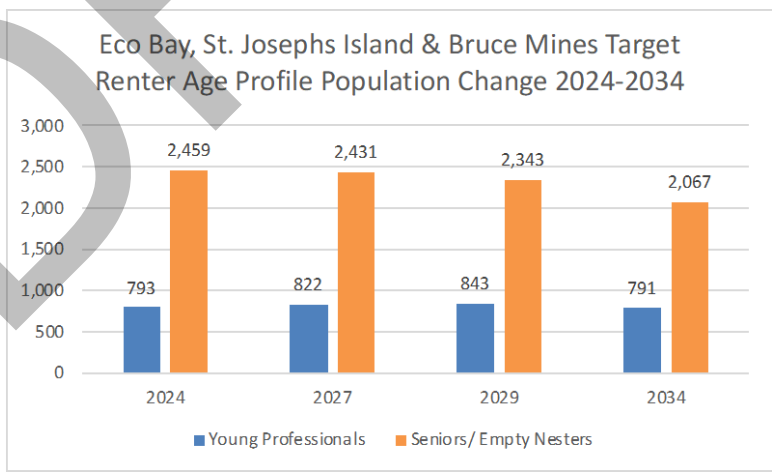
OLDER COMMUNITY WITH STRONG PROPORTIONS OF SENIORS/EARLY DOWNSIZERS

The age profile of a given area is indicative of both the target renters for a given property, and the propensity to rent. Relatively high proportions of young adults (ages 20-34), empty-nesters (ages 55-64) and seniors (ages 65+) are considered favourable signs for rental apartments, as these demographics typically exhibit a greater inclination towards renting compared to other age groups.



Trade Area and Catchment Area: Age Distribution

Source: SVN Rock Advisors w/ Environics (2024)



Trade Area Population Growth: Young Professionals (25-34) VS. Seniors/ Empty Nesters (55-74)

Source: SVN Rock Advisors w/ Environics (2025)

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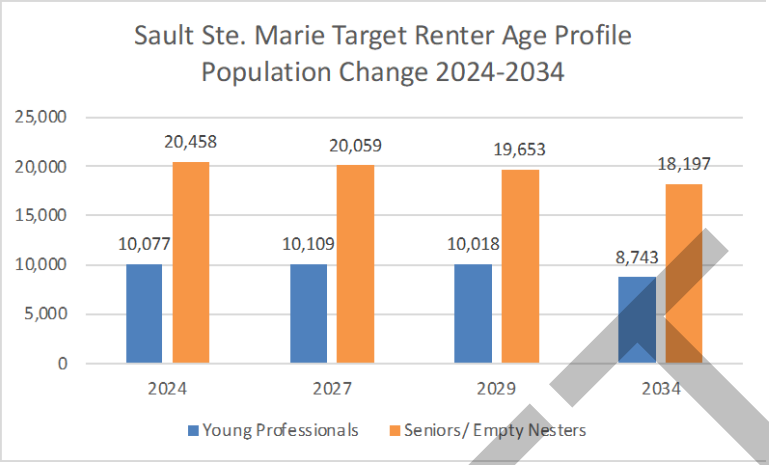

Catchment Area Population Growth: Young Professionals (25-34) VS. Seniors/ Empty Nesters (55-74)

Source: SVN Rock Advisors w/ Environics (2025)

25-34 Year Age Group (Under-Represented)

This group is generally under-represented, with 10.6% of the trade area and 13.2% of the broader catchment area falling into this age group. Although this age group is likely not the primary target demographic, a small proportion of these individuals will still reside at the subject site, given that it will be the newest, market leading development in the community.

55-74 Year Age Group (Over-Represented)

This age group is well-represented, with 32.7% of the trade area and 26.7% of the broader catchment area falling into this age group. This is positive, as we expect that this age group will be a strong (if not the dominant) renter profile at the proposed development. Our unit mix recommendations take this into consideration.

Based on these trends, it appears that with proper positioning (please refer to the recommendations later in the report), the Client's proposed development is poised to emerge as a formidable contender in the local renter market.

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5.3 – Household Types

STRONG COUPLES (WITHOUT CHILDREN) MARKET

Household types indicate the familial character of the occupants in each dwelling. “Family” households consist of couples with children; “couples only” households include couples without children; and “lone person” households comprise individuals living alone or forming a single household.

For rental housing, a high prevalence of couples and lone person households is favorable, as they typically display a greater inclination to rent compared to family households. Moreover, a significant proportion of couples-only households, characterized by two earners and disposable income, offer a particularly advantageous scenario.

	Eco Bay, St. Josephs Island & Bruce Mines (Region)		Sault Ste. Marie (City)	
	#	%	#	%
Total Households	2,956	100.0%	34,307	100.0%
Families With Children	761	25.7%	7,324	21.3%
Couples Without Children	1,244	42.1%	9,484	27.6%
Lone Person	711	24.1%	11,832	34.5%

Trade Area and Catchment Area: Household Types

Source: SVN Rock Advisors w/ Environics (2025)

5.4 – Mode of Transportation to Work

CAR ORIENTED NEIGHBOURHOOD

Mode of transport refers to the primary mode of transport for households in a particular geographical area. This is important to infer parking requirements to a new development.

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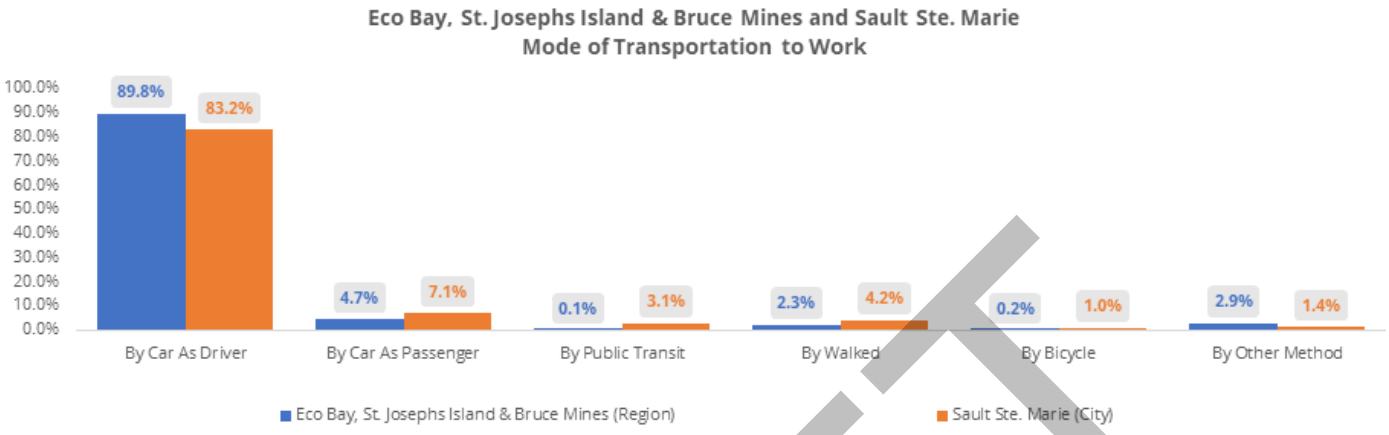

Trade Area and Catchment Area: Mode of Transportation to Work

Source: SVN Rock Advisors w/ Environics (2025)

Approximately 89.8% of residents in the trade area surrounding the subject site drive as their main mode of transportation to work, while only 0.1% use public transit. This low reliance on transit has direct implications for parking needs. Given the high dependence on personal vehicles, parking will be a critical factor for prospective tenants. Depending on the target resident profile (as outlined later in this report), the Client may wish to exceed the minimum municipal parking requirements to support successful lease-up. Detailed parking recommendations are provided in a subsequent section.

5.5 – Educational Attainment

COLLEGE GRADUATE NEIGHBOURHOOD

Educational attainment and occupation directly impact a tenant's rent affordability. Higher rates of college and university-educated households are associated with increased average household incomes, a crucial factor in determining affordability and the likelihood of households being able to afford higher rents.

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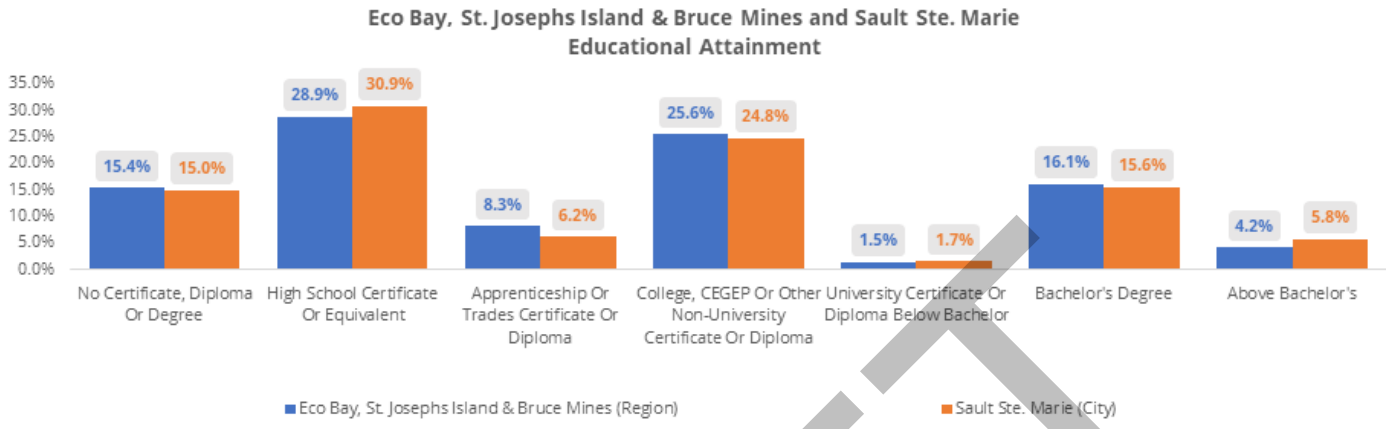

Trade Area and Catchment Area: Educational Attainment

Source: SVN Rock Advisors w/ Environics (2025)

The trade area surrounding the subject site has a high proportion of university and college educated individuals. The subject site neighbourhood is well educated with 16.1% of individuals holding a bachelor's degree and 4.2% holding a graduate degree. If the subject site were brought to market as a luxury rental it should aim to target the most educated households in its respective catchment area.

Households in the subject site neighbourhood are fairly represented in white collar occupations which dominate the subject site's neighbourhood and broader labour force. There exists a large portion of individuals with bachelor's degrees and graduate degrees. These findings are consistent with the educational attainments as the white-collar occupations typically demand a higher level of education.

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6 – DEMOGRAPHIC PROFILES

"What type of people live around the subject site?"

The preceding analysis draws on detailed demographic and economic indicators. As individuals, we encompass a multitude of different indicators such as age, life stage, occupation, immigration history, and more. Instead of examining each indicator separately, it is beneficial to amalgamate data to generate profiles of diverse Canadian households.

SVN Rock Advisors utilizes PRIZM5, a tool that merges numerous data points to form 67 distinct household profiles by integrating geographic, demographic, and psychographic data. These segments assist clients in comprehending the characteristics of their potential tenants, including their purchasing habits, activities and thoughts.

Who Are My Tenants?

With 67 lifestyle types, Canada's most comprehensive segmentation system provides insights into who prospective tenants are for the subject development, including where they live, their occupations, activities and attitudes. PRIZM5 links customer data with neighbourhood demographics, syndicated survey data, and marketing research, unveiling the kinds of tenants who are inclined to reside in the subject apartment building.

What Are They Like?

Once SVN has identified and defined the prospective target tenant, PRIZM5 is used to understand their consumer behaviour.

What Do They Buy?

PRIZM5 offers valuable insights into market sales potential by predicting consumer preferences across various industries. Utilizing this information can inform recommendations for amenities and commercial space development.

Where Can I Find Them?

By integrating PRIZM5 with customer data, SVN can identify the most profitable tenant segments and suitable locations to target them. This classification process means that the Client can discover where their ideal tenants live and extend their reach to similar demographics across Canada.

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How Can I Reach Them?

By profiling target consumers, PRIZM5 can help determine the best way to reach target tenants with the right products, services, media mix and messages.

Current Neighbourhood Profile

Initially, the household composition of the neighbourhood is assessed. This involves identifying the predominant PRIZM5 household types in the vicinity of the subject site. This analysis is beneficial for understanding which households are inclined to rent within the trade area, locating the target renters, and evaluating the spatial distribution of specific households to ascertain neighbourhood characteristics.

There is a lack of data in the subject site area, so the top PRIZM5 segments cannot be mapped. The subject area highlights four different PRIZM5 segments within the trade area that represent 100% of households. These PRIZM5 segments are 41 - Down to Earth, 49 - Backcountry Boomers, 37 - Keep On Trucking, and 50 - Country & Western

41 - Down to Earth

✓ The largest rural household profile with 400,000 households across Canada. This profile consists of older couples, and families; 90% own their own homes many of which were built prior to the 1980's. Similarly, to many other rural lifestyles they tend to spend their leisure times outdoors whether bird watching, RV'ing, or snowmobiling. These individuals are not likely to rent at the subject site once brought to market as they prefer home ownership, and many of which also have children at home.

49 - Backcountry Boomers

✓ This is a very rural segment found in the Atlantic Provinces. Backcountry Boomers are mostly older empty nesting couples that live alone. 40 percent of these individuals are over 65 and nearly three- quarter of households have one or two people. Most of these adults are out of the workforce but those still working hold a mix of blue-collar and service sector jobs in farming, natural resources, construction, transportation and trades. Incomes are 25 percent below average but enough to own single detached homes. Small renter potential in this segment as older couples could be looking to down size.

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37 - Keep On Trucking

This segment consists of groups of people who are found in remote communities across Canada. This has the second highest concentration of Aboriginals across all segments (about 20 percent). Keep On Trucking is made up of younger or middles aged couples and families. Most adults don't have education past high school but still hold well-paying blue-collar and service sector jobs. These jobs are mostly in oil mining and gas. With their upper-middle class incomes they can afford to own older single detached homes with 5 percent living in mobile homes. These individuals are not typical renters as they value home ownership.

50 - Country & Western

This is a rural segment found in the areas close to towns in the western provinces. This segment contains older adult singles and couples. Nearly a third of these adults are over the age of 65. Eight in ten households live in single detached homes while 8 percent own a mobile home. Theses residents have a mixed education with those still in the workforce holding jobs in farming and blue-collar industries. These adults earn lower-middle incomes. Small renter potential in this segment as older couples could be looking to down size.

Trade Area: Top 5 PRIZM Profiles

Source: SVN Rock Advisors w/ Environics (2024)

Where Are the Renters?

Once the current trade area household composition has been determined, the target renter profile needs to be identified. Once the current trade area household composition has been determined, the renter profile needs to be identified. The household composition of the neighborhood will attract a relatively older demographic with middle-aged families and seniors/empty nesters.

Below are the PRIZM5 profiles of students, young professionals, middle-age, and senior renters. While not all households within these profiles are likely to rent at the subject site, a majority are anticipated to do so and therefore should be regarded as potential renters.

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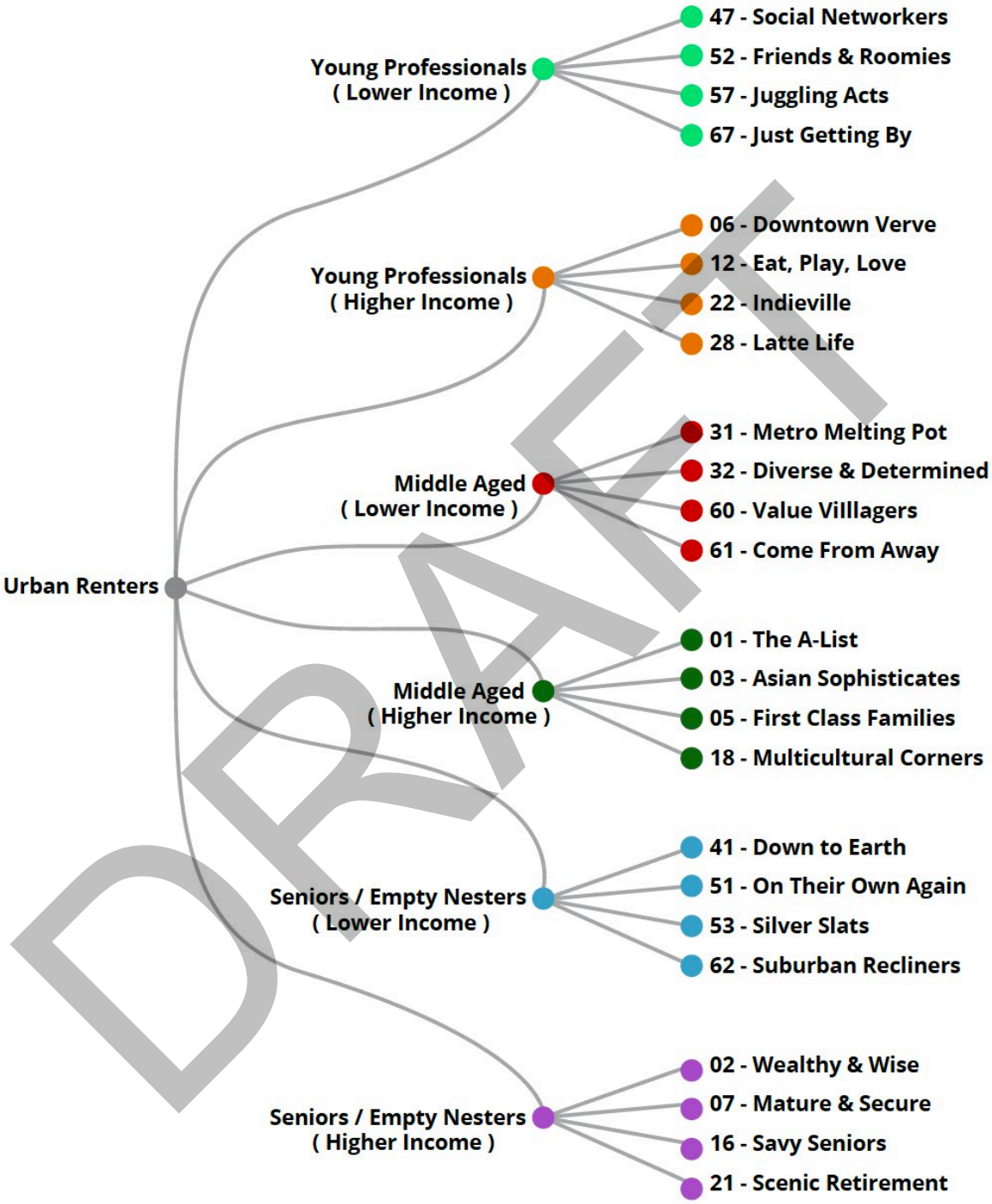

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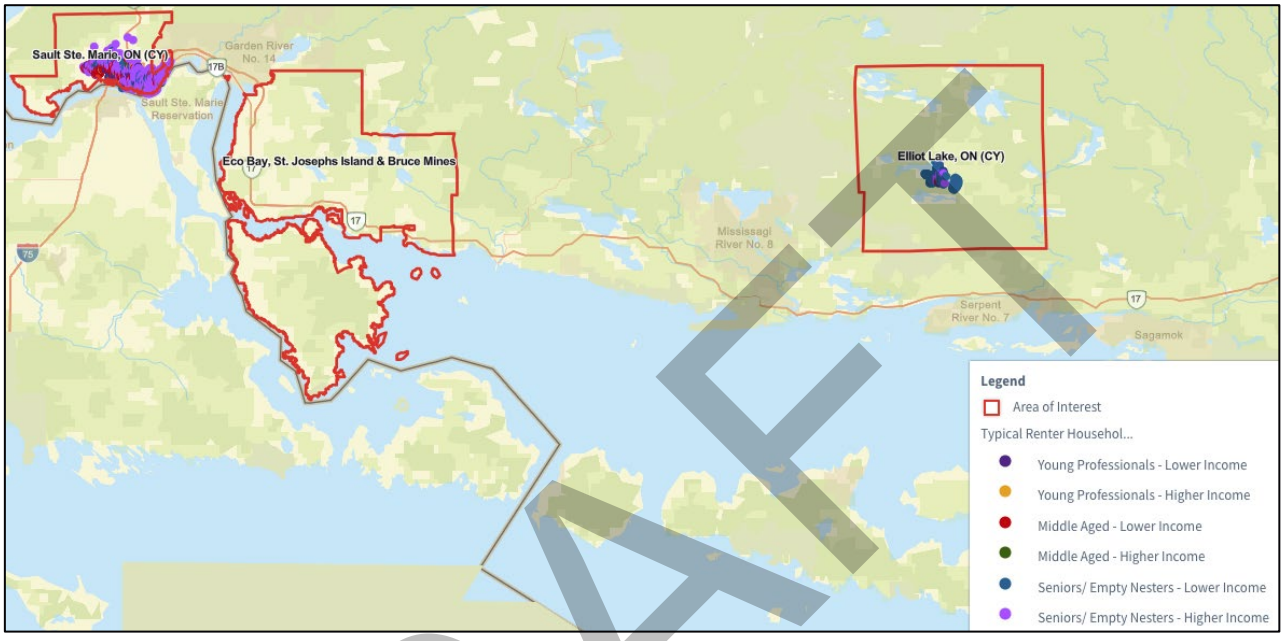
Urban Renters Flowchart

Source: SVN Rock Advisors w/ Environics (2025)

Once mapped, the distribution of potential renter households becomes defined with a dispersed population of potential renters within the neighborhood and surrounding area. A majority of these potential renter households appear to be seniors/empty nesters, however there is limited data available in the trade area.



Typical Renter Households Map

Source: SVN Rock Advisors w/ Environics (2025)

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Young Professionals

Young professionals will likely not represent a significant proportion of renters within the subject site. These individuals are often leaving their parents single family dwelling households in search of career advancement or post secondary studies. As such, transit nodes near employment centers have become increasingly popular for these demographic profiles.

Middle-Aged Renter Households

Middle-aged renter households are prevalent and located in the subject site neighborhood. Similar to the older demographic, majority of these households are located within the single-family subdivisions surrounding the subject site. At this point in their life stage, children have typically moved out, leaving couples in an unnecessarily large home to maintain; in this event rental becomes an even more appealing option to cut costs and reduce the need for maintenance. In addition, there will also be a small proportion of divorcees in this renter group. These individuals seek larger units to accommodate their visiting children and to have extra storage space for their belongings. These households tend to prefer single-family dwellings if financially available. However, we expect that middle-aged renter households will be present at the subject site.

Seniors/Empty Nesters

Seniors/ empty nesters are prevalent and located throughout the subject site neighbourhood and the broader region. These individuals are likely long-term residents who tend to reside in single family dwellings. This indicates that the subject site is likely to attract a proportion of its prospective renters from the surrounding community who value the level of finishes that a new purpose-built rental product has to offer.

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7 – HOUSEHOLD AFFORDABILITY

"How much can my prospective tenants afford to pay in rent?"

In this section, an examination is conducted on different indicators of household affordability. While this data can be considered at a high-level, it serves as a foundation for assessing whether the general population is capable of affording a specific range of rental rates. All the data presented in this section has been sourced from Demostats (2025) and CMHC (2024).

	Eco Bay, St. Josephs Island & Bruce Mines (Region)	Sault Ste. Marie (City)
	INCOMES	
Categorization	Strong	Strong
Avg Household Income	$116,920	$105,104
	HOUSEHOLD AFFORDABLE RENTS	
$1,500 - $2,000 / month	14.1%	13.8%
$2,000 - $2,500 / month	12.0%	11.0%
$2,500 - $3,125 / month	11.9%	9.9%
$3,125 + / month	34.8%	29.6%

Household Affordability Summary

Source: SVN Rock Advisors w/ Environics (2025)

Key Takeaways

1. The strong incomes throughout the subject site neighborhood suggests households possess incomes sufficient to afford premium rental rates.

2. The high incomes throughout Sault Ste. Marie suggests there are households outside the surrounding neighborhood with incomes sufficient to afford premium rental rates.

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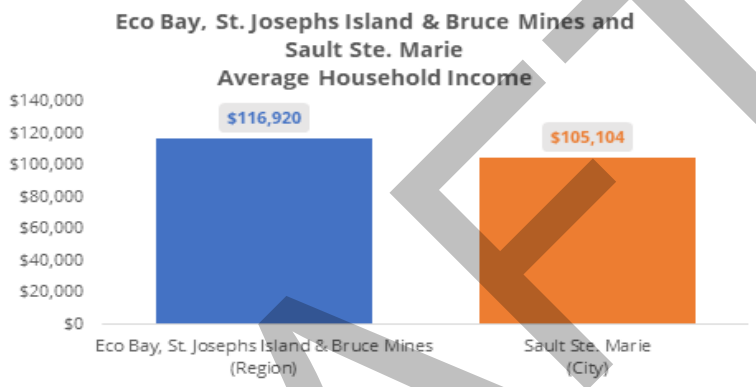
7.1 – Trade Area Income

STRONG INCOMES IN SUBJECT SITE NEIGHBOURHOOD AND BROADER MUNICIPALITY

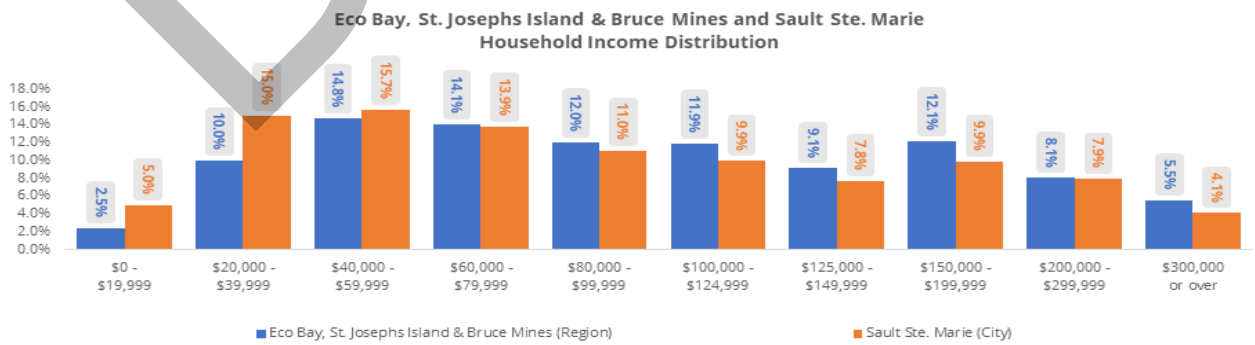
The average household income in the trade area that surrounds the Client's proposed development is $116,920, while the broader community is slightly lower at $105,104.



Trade Area and Catchment Area: Average Household Income

Source: SVN Rock Advisors w/ Environics (2025)

Both the trade area and surrounding catchment area have relatively strong incomes that are expected to produce a strong pool of renters with the ability to afford strong market-leading rents. As with most new rental developments, it is expected that the Client's proposed development will draw renters from communities outside of the immediate catchment area, which has the opportunity to attract strong income earners. A more detailed breakdown of the trade area and catchment area incomes by income bracket is presented below. As described later in this section, a typical household can afford 30% of their pre-tax income towards shelter costs.



Trade Area and Catchment Area: Household Income Distribution

Source: SVN Rock Advisors w/ Environics (2025)

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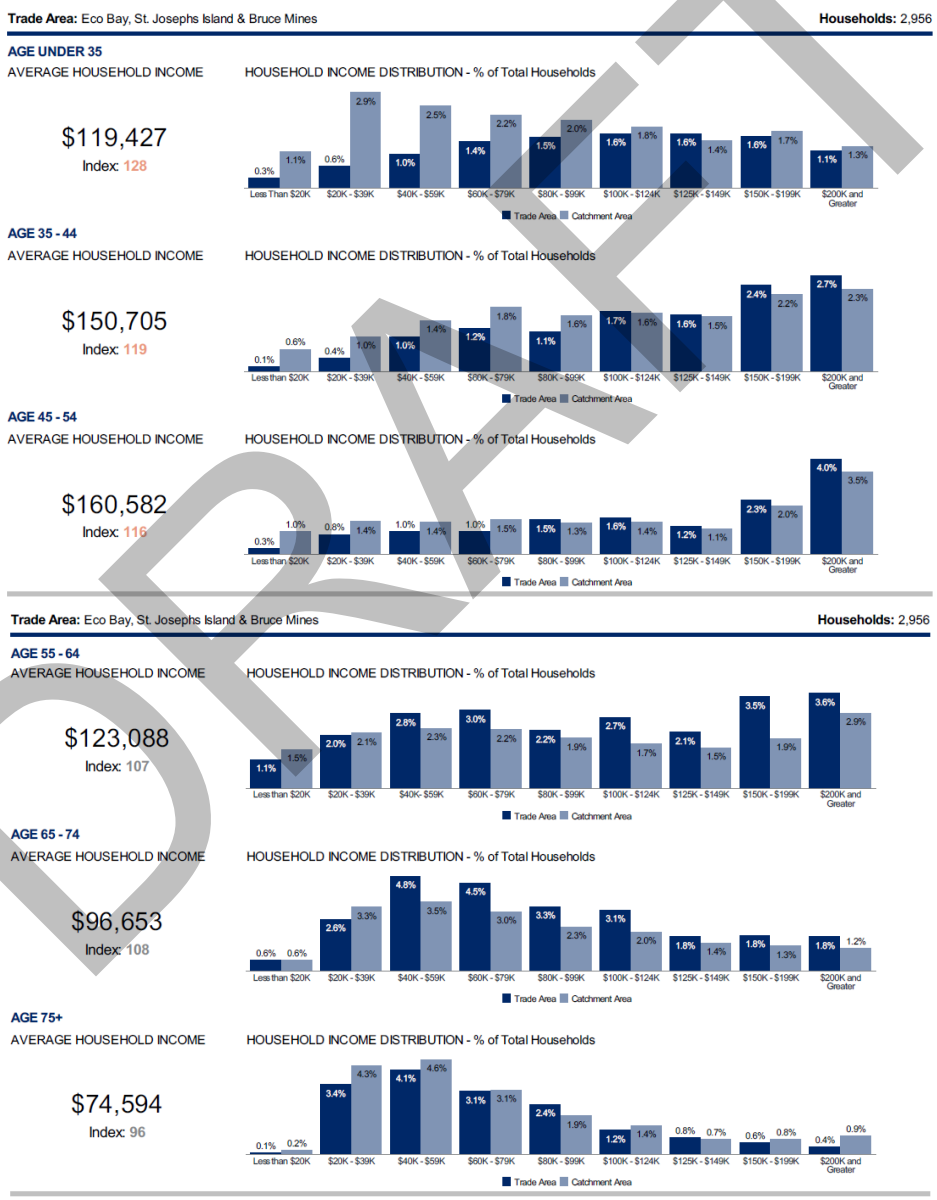
Looking at the age by income charts below, it becomes evident that the targeted demographics will be able to afford higher rents. There are significant income levels in the middle-aged demographic within the Eco Bay, St. Josephs Island & Bruce Mines region, with the 45-54 age group reporting an average household income greater than $160,000. This demographic could potentially be recent empty nesters looking to downsize and move into the Client's subject site. It should be noted that, while incomes shown below decrease as age profiles increase, older renter profiles often hold large amounts of equity, after selling their single-family dwelling household in addition to pensions.



Trade Area and Catchment Area: Age by Income Distribution

Source: SVN Rock Advisors w/ Environics (2025)

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7.2 – Rental Affordability vs Average Rents

NEW BUILDINGS FAR EXCEED CMHC AVERAGES

Rental affordability versus average rents represents the difference between the amount a household can theoretically afford to pay for rent (based on the "affordability index") and the average rent a household pays, according to CMHC. Generally, areas with the largest gap between the two is a positive indicator for new apartment development as they offer the most potential for achieving high rents and realizing significant increases in rent in the future.

The following data from Demostats and CMHC have been used in calculating the rental gap:

1. Median household income obtained from Demostats (2025).
2. Affordable monthly rent calculated based on the widely held rule that 30% of pre-tax monthly income can be spent on shelter costs.
3. Average monthly rents obtained from CMHC (2024).
4. The Rental Gap is calculated as affordable monthly rent minus actual average monthly rent.

	Median Household Income	Affordable Rent	Average Actual Rent	Rental Gap
Barrie (CY)	$104,552	$2,614	$1,551	**$1,063**
Timmins (CY)	$87,001	$2,175	$1,167	**$1,008**
Greater Sudbury / Grand Sudbury (CMA)	$88,230	$2,206	$1,251	**$955**
Thunder Bay (CY)	$83,062	$2,077	$1,237	**$840**
Sault Ste. Marie (CY)	$77,741	$1,944	$1,104	**$840**
North Bay (CY)	$76,947	$1,924	$1,185	**$739**
Elliot Lake (CA)	$53,234	$1,331	$890	**$441**
Eco Bay, St. Josephs Island & Bruce Mines	-	-	-	**-**

Comparison Cities: Rental Affordability vs Actual Rents

Source: SVN Rock Advisors w/ Environics (2025) and CMHC (2024)

Sault Ste. Marie has an average actual monthly rent of $1,104 with a rental gap of $840. This gap is a positive indicator for new purpose-built rental apartment development since it shows that the population can afford significantly higher rents than those currently being charged in the market.

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7.3 – Household Quantities by Type

LARGE PROPORTION OF FAMILIES WITH AND WITHOUT CHILDREN IN LOCAL NEIGHBOUTHOOD

Household quantities by type shows the current number of households which fall into various categories such as age, household type, incomes, etc. This provides a theoretical target pool of households who could rent in the proposed subject development.

	Eco Bay, St. Josephs Island & Bruce Mines (Region)		Sault Ste. Marie (City)	
Couples Only	1,244	42.1%	9,484	27.6%
Singles	711	24.1%	11,832	34.5%
Senior (65+)	3,049	40.6%	27,738	36.2%
Young (25-34)	793	10.6%	10,077	13.2%
Afford $1,000-$2,000 / month	417	14.1%	4,750	13.8%
Afford $2,000-$2,500 / month	355	12.0%	3,781	11.0%
Afford $2,500-$3,125 / month	351	11.9%	3,410	9.9%
Afford $3,125+ / month	1,030	34.8%	10,162	29.6%

Trade Area and Catchment Area: Household Quantities by Type

Source: SVN Rock Advisors w/ Environics (2025)

The residents within the subject site neighbourhood are capable of affording high-end rental product. Approximately 11.9% of the neighbourhood households can afford rents between $2,500 - $3,125; whereas approximately 34.8% of the households can achieve rents greater than $3,125 and hold household incomes greater than $125,000 annually. A moderate portion of the population are single person households which can result in reduced household incomes. This is a positive indicator for the success of the subject site, as it suggests local residents in the surrounding communities are capable of affording premium rental rates.

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8 – DEMAND ANALYSIS

"What's the depth of the market?"

In this section, the assessment is conducted to determine if the Client's proposed rental building could be successfully absorbed into the rental market, relying on the following indicators:

1. Primary Rental Universe & Unit Mix – the quantity of purpose-built apartments in the primary rental market.
2. Rental Density – the ratio of units to the population in the primary rental market per 100 people.
3. New Apartment Construction – the number of newly constructed primary rental units.
4. Secondary Rental Universe – the count of informal/alternative rental units within the rental market.

	Host City: Eco Bay, St. Josephs Island & Bruce Mines	**Benchmark City: Sault Ste. Marie CY**
	EXISTING RENTAL STOCK	
Categorization	Limited	Relatively Small
Total Num Apartments	-	5,015
Rental Density	-	6.62
	RECENT NEW RENTAL DEVELOPMENT	
Categorization	Low/None	Low
Total New Apartments	-	255
% New Apartments	-	5.1%
	SECONDARY MARKET	
Categorization	Limited	Medium-Sized
Estimated Secondary Renters	-	5,891
% Secondary Renters	-	54.0%

Demand Analysis Summary

Source: SVN Rock Advisors w/ CMHC (2024)

Key Takeaways

1. Sault Ste. Marie has a relatively small to moderate rental market among benchmarked municipalities.

2. The proportion of renters in the secondary market is relatively high in the Sault Ste. Marie at approximately 54%, suggesting a robust willingness to rent in the local market.

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8.1 – Primary Rental Universe & Unit Mix

LIMITED APARTMENT PRODUCT IN SUBJECT SITE MUNICIPALITY

Primary rental universe unit mix refers to the total number of apartment units rented in a primary rental market, as recorded by CMHC. This constitutes what can be described as the "formal" or "purpose-built" rental apartment market (which excludes condo rentals and casual rentals such as bedrooms for rent, trailers, etc.). Only buildings with more than 3 units are included in CMHC's count of the apartment universe.

	Bachelor		1-Bed		2-Bed		3-Bed		Total
Greater Sudbury / Grand Sudbury (CMA)	751	5.8%	3,876	29.8%	7,119	54.7%	1,260	9.7%	**13,006**
Thunder Bay (CY)	324	5.3%	2,036	33.2%	3,164	51.6%	605	9.9%	**6,129**
Sault Ste. Marie (CY)	180	3.6%	1,602	31.9%	2,737	54.6%	496	9.9%	**5,015**
Barrie (CY)	129	3.2%	1,242	31.1%	2,230	55.9%	390	9.8%	**3,991**
North Bay (CY)	166	4.8%	991	28.4%	1,798	51.6%	530	15.2%	**3,485**
Timmins (CY)	76	4.1%	671	36.1%	943	50.7%	171	9.2%	**1,861**
Elliot Lake (CA)	20	1.4%	320	22.3%	883	61.5%	212	14.8%	**1,435**
Eco Bay, St. Josephs Island & Bruce Mines	-	-	-	-	-	-	-	-	**-**

Comparison Cities: Primary Rental Universe

Source: SVN Rock Advisors w/ CMHC (2024)

Sault Ste. Marie has a rental universe of 5,015 units which is Moderate compared to benchmark municipalities. 31.9% of units are one-bedroom apartments, and 54.6% are two-bedroom apartments. This is indicative of a Suburban unit mix. CMHC does not track any rental units within the Echo Bay, St. Josephs Island and Bruce Mines Trade Area.

Two philosophies exist regarding unit mix and sizing interpretations: one is to copy what has historically been absorbed into the market; the other is to provide a more nuanced unit mix understanding that there is likely a gap in the market for under-served unit types. SVN Rock Advisors' recommendations on unit mix and sizing are provided later within this report.

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8.2 – Rental Density

UNDERSUPPLIED MARKET

Rental density is a simple measure of the number of purpose-built rental apartments for every 100 residents. The calculation makes it easier to compare the relative supply of rental apartments between communities.

Communities with the lowest rental density can be considered under-supplied with rental apartments and therefore offer the greatest opportunities for developing new rental apartments. A high rental density is not necessarily a negative feature of a given market, since it indicates a well-functioning market and proven demand, although with greater competition.

	Population	Num Apt Unit Count	Rental Density	New Apts Unit Count	New Apts Density	New Apts %
Elliot Lake (CA)	10,471	1,435	**13.70**	-	--	-
Greater Sudbury / Grand Sudbury (CMA)	174,773	13,006	**7.44**	1,094	0.63	8.4%
Sault Ste. Marie (CY)	75,783	5,015	**6.62**	255	0.34	5.1%
North Bay (CY)	54,969	3,485	**6.34**	113	0.21	3.2%
Thunder Bay (CY)	110,664	6,129	**5.54**	379	0.34	6.2%
Timmins (CY)	41,955	1,861	**4.44**	146	0.35	7.8%
Barrie (CY)	177,091	3,991	**2.25**	581	0.33	14.6%
Eco Bay, St. Josephs Island & Bruce Mines	-	-	**-**	-	-	-

Comparison Cities: Rental Density

Source: SVN Rock Advisors w/ CMHC (2024)

Sault Ste. Marie's rental density of 6.62 apartments per 100 people is an indicator of an under-supplied rental market. Demand is strong and continues to increase as the local population grows, but the lack of supply in rental stock means tightening market conditions and a need for increased rental apartment construction. This is positive, as it indicates that the local market is undersupplied and capable of absorbing new apartment product when brought to market while maintaining low vacancy rates. Furthermore, there has only been 255 new rental units built since the year 2000 in the local market, suggesting minimal new stock competition This likely means that the absorption of new rental apartments into the market will not be an issue.

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8.3 – Rental Density Scenario Analysis

SUPPLY NOT LIKELY TO OUTPACE DEMAND

Below, the summary presents the current supply of primary rental units in comparison to different scenarios involving the addition of 100, 150, 200, and 250 units to the primary rental market either by the client, competitors, or both. The purpose of this table is to demonstrate that despite developments introduced concurrently by other entities, the local market's capacity to accommodate rental stock will not be negatively impacted. There is a lack of CMHC data in the subject site area, so while the proposed development is located in Richard's Landing, Sault Ste. Marie has been utilized for the rental density scenario analysis.

	Num Apts Unit Count	Rental Density	New Apts Unit Count	New Apts Density	New Apts %
Sault Ste. Marie (CY)	5,015	6.62	255	0.34	5.1%
+ 100 units	5,115	6.75	355	0.47	6.9%
+ 150 units	5,165	6.82	405	0.53	7.8%
+ 200 units	5,215	6.88	455	0.60	8.7%
+ 250 units	5,265	6.95	505	0.67	9.6%

City: Rental Density Scenarios

Source: SVN Rock Advisors w/ CMHC (2024)

The analysis shows that once the development is complete and an additional approximately 150 units are brought to market, Sault Ste. Marie's rental density will increase to 6.82 apartments per 100 people, or if a total of 250 (assuming competition enters the market) were brought to market the rental density would increase to 6.95, which is approaching a well-supplied market. However, this overlooks the anticipated population growth during this period. Consequently, irrespective of the quantity of new rental apartments, the demand for purpose-built rental units is expected to surpass the supply of new rental stock entering the market. Therefore, new units are unlikely to face significant lease-up issues, which is a favourable indicator from a rental apartment standpoint. It is reasonable to assume that there are either no new apartments built in Richards Landing since 2000, or a very limited number of new apartments, and as such demand is projected to be moderate to high.

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8.4 – New Apartment Construction

SMALL NUMBER OF NEW RENTAL UNITS

The number and proportion of newly constructed rentals, which is defined as purpose-built rentals built after 2000, are summarized as follows:

	Num Apts	New Apts Since 2000	
	Unit Count	#	%
Barrie (CY)	3,991	581	**14.6%**
Greater Sudbury / Grand Sudbury (CMA)	13,006	1,094	**8.4%**
Timmins (CY)	1,861	146	**7.8%**
Thunder Bay (CY)	6,129	379	**6.2%**
Sault Ste. Marie (CY)	5,015	255	**5.1%**
North Bay (CY)	3,485	113	**3.2%**
Eco Bay, St. Josephs Island & Bruce Mines	-	-	**-**
Elliot Lake (CA)	1,435	-	**-**

Comparison Cities: New Apartment Construction

Source: SVN Rock Advisors w/ CMHC (2024)

Since 2000, there have been 255 new rental units introduced in Sault Ste. Marie's rental market which accounts for 5.1% of the primary rental universe respectively.

Sault Ste. Marie has experienced very little new rental apartment development since 2000. This can be due to a wide range of factors including strong demand for single family houses and condos in the market which provide quicker (but typically lower) profits, high land costs, or simply a lack of local developers that have an interest in the asset class. The lack of new development is positive for the Client, as it means there will be limited competition when bringing the subject building to market.

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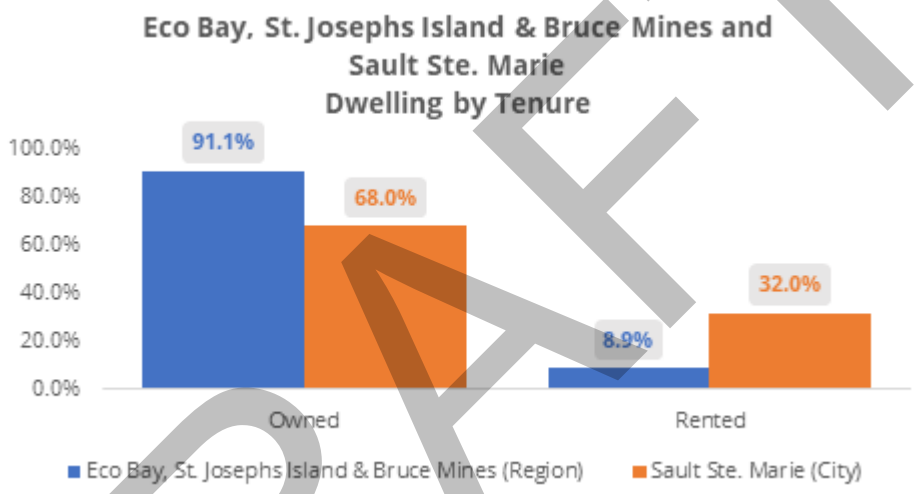
8.5 – Dwelling by Tenure

PRIMARILY HOMEOWNERS - NEW RENTAL DEVELOPMENT TO FILL RENTAL GAP IN MARKET

The following identifies households by dwelling type – whether they rent or own. Areas with higher proportion of renter households relative to owners indicate a greater propensity to rent rather than traditional home ownership.



Trade Area and Catchment Area: Dwelling by Tenure

Source: SVN Rock Advisors w/ Environics (2025)

Approximately 8.9% of households in the subject site's surrounding neighbourhood are renters, while 32.0% of residents in the broader city rent.

The local neighbourhood lacks renters likely not due to a lack of demand, but a lack of supply. It is expected that when new rental product is brought to market, the pool of renters currently underserved in the broader community will choose to explore new rental options within the neighbourhood. It is an opportunity to be the new market leader in the neighbourhood and potentially broader community.

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8.6 – Secondary Rental Apartment Universe

RELATIVELY LARGE UNMET DEMAND

The secondary rental apartment market, also known as the "alternative", "informal", or "shadow" rental market, comprises rented condominium dwellings not included in the primary rental apartment market. CMHC offers data on rental households categorized by structure type. The table below illustrates the distribution of renters in both the primary and secondary markets.

	Num Renter Households	Num Apts Unit Count	Est. Secondary Universe	% Secondary Renters
Barrie CY	19,940	3,991	15,949	**80.0%**
Timmins (CY)	6,075	1,861	4,214	**69.4%**
North Bay CY	10,141	3,485	6,656	**65.6%**
Thunder Bay (CY)	16,299	6,129	10,170	**62.4%**
Sault Ste. Marie CY	10,906	5,015	5,891	**54.0%**
Greater Sudbury / Grand Sudbury (CMA)	26,689	13,006	13,683	**51.3%**
Elliot Lake CA	2,331	1,435	896	**38.4%**
Eco Bay, St. Josephs Island & Bruce Mines	-	-	-	**-**

Comparison Cities: Secondary Rental Universe

Source: SVN Rock Advisors w/ CMHC (2024)

In many markets, there exists a pool of potential renters who would rent in the primary rental market if it existed but reluctantly turn to the secondary market or condominium-rental and casual rental markets for the quality they seek. When primary (purpose-built) rentals are built, renters tend to migrate from the secondary market to the primary market.

There is a lack of CMHC data for the designated trade area, however the proportion of renters in the secondary market in Sault Ste. Marie is relatively high with approximately 54% of all renter households renting from the secondary market. This is a positive as it suggests that there is a robust willingness to rent in the local market that surpasses the current supply of rental product.

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8.7 - Rental Development Pipeline

A development pipeline of proposal and under-construction purpose-built rental developments in the subject site community and broader markets is provided below. These properties represent the rental stock coming to market and are important to review when considering future rental demand, and the ability of the local market to absorb new rental stock. A full review of these properties including their location, unit count, and status is important to better position the subject site during the planning stages to ensure long-term competitiveness and viability.

Address	City	Developer	Num Units	Stage
352 Northern Avenue E	Sault Ste. Marie	Cara Community Corp	108	Under Construction
Proposed: 9 storey/108 unit residential building (33 affordable units for seniors)				
		Total Apartments Under Construction	**108**	
130 Wellington Street E	Sault Ste. Marie	Heathrow Investment Corporation	118	Pre-Construction
Proposed: two 59 unit residential buildings for a total of 118 units, maximum height expected to be no higher than six storeys				
0 Chippewa Street	Sault Ste. Marie	Mamta Homes	358	Pre-Construction
Proposed: mixed-use development consisting of two five storey apartment buildings, townhomes, singles, and semis with a total of 358 units				
22 MacDonald Avenue	Sault Ste. Marie	SalDan Construction Group	232	Pre-Construction
Proposed: two 9 storey/116 unit residential buildings for a total of 232 units				
Kingsview Drive, Fieldstone Drive, North Field Crescent	Sudbury	SalDan Construction Group	324	Pre-Construction
Proposed: three 9 storey/108 unit towers for a total of 324 units (36 units of each building affordable)				
		Total Apartments Pre-Construction	**1,032**	
700 Paris Street	Sudbury	Panoramic Properties Inc	199	In Planning

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Proposed: 16 storey/199 unit apartment building with 109 retirement guest suites & 20 storey/222 unit condo building				
Former Allen Family Farmstead	Sault Ste. Marie	Denise Hervias	128	In Planning
Proposed: four 3 storey/24 unit buildings & two 3 storey/16 unit buildings for a total of 128 units				
204 South Market Street	Sault Ste. Marie	ESC Land Development Corp	376	In Planning
Proposed: four 5 storey apartment buildings with a total of 348 units & 28 townhouse units				
212 St Georges Avenue W	Sault Ste. Marie	Brooks Creative House	13	In Planning
Proposed: renovation of former 3 storey rooming house with 13 affordable rental units				
1125 Pine Street	Sault Ste. Marie	Ruscio Construction	141	In Planning
Proposed: three 6 storey/47 unit residential building for a total of 141 units				

Total Apartments In Planning **857**

Grand Total **1,997**

Subject Site: Apartment Development Pipeline

Source: SVN Rock Advisors

Apartment Development Pipeline Summary	
Status	**# of Units**
In-Planning	857
Pre-Constuction	1,032
Under Construction	108
Total	**1,997**

Subject Site: Apartment Development Pipeline Summary

Source: SVN Rock Advisors

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Address	City	Developer	Num Units	Stage
Santas Village Road & Wellington Street	Bracebridge	Evertrust Development Group Canada Inc	95	Under Construction
Proposed: 4 storey/95 unit condo building				
		Total Condominiums Under Construction	**95**	
162 Howland Drive	Huntsville	Sandhu Developments	15	Pre-Construction
Proposed: 3 storey/15 unit mixed-use condo building				
28 McMurray Street	Bracebridge	Unexus Group		Pre-Construction
Proposed: 6 storey condo building				
		Total Condominium Pre-Construction	**15**	
Station Mall	Sault Ste. Marie	StratonHunter Group		In Planning
Proposed: up to twelve condo towers (limited details at this time)				
30 Cedar Street	Sudbury	Panoramic Properties Inc	83	In Planning
Proposed: 7 storey/83 unit condo building				
700 Paris Street	Sudbury	Panoramic Properties Inc	222	In Planning
Proposed: 16 storey/199 unit apartment building with 109 retirement guest suites & 20 storey/222 unit condo building				
		Total Condominium In Planning	**305**	
		Grand Total	**415**	

Subject Site: Condo Development Pipeline

Source: SVN Rock Advisors

Condo Development Pipeline Summary	
Status	**# of Units**
In-Planning	305
Pre-Construction	15
Under Construction	95
Total	**415**

Subject Site: Condo Development Pipeline Summary

Source: SVN Rock Advisors

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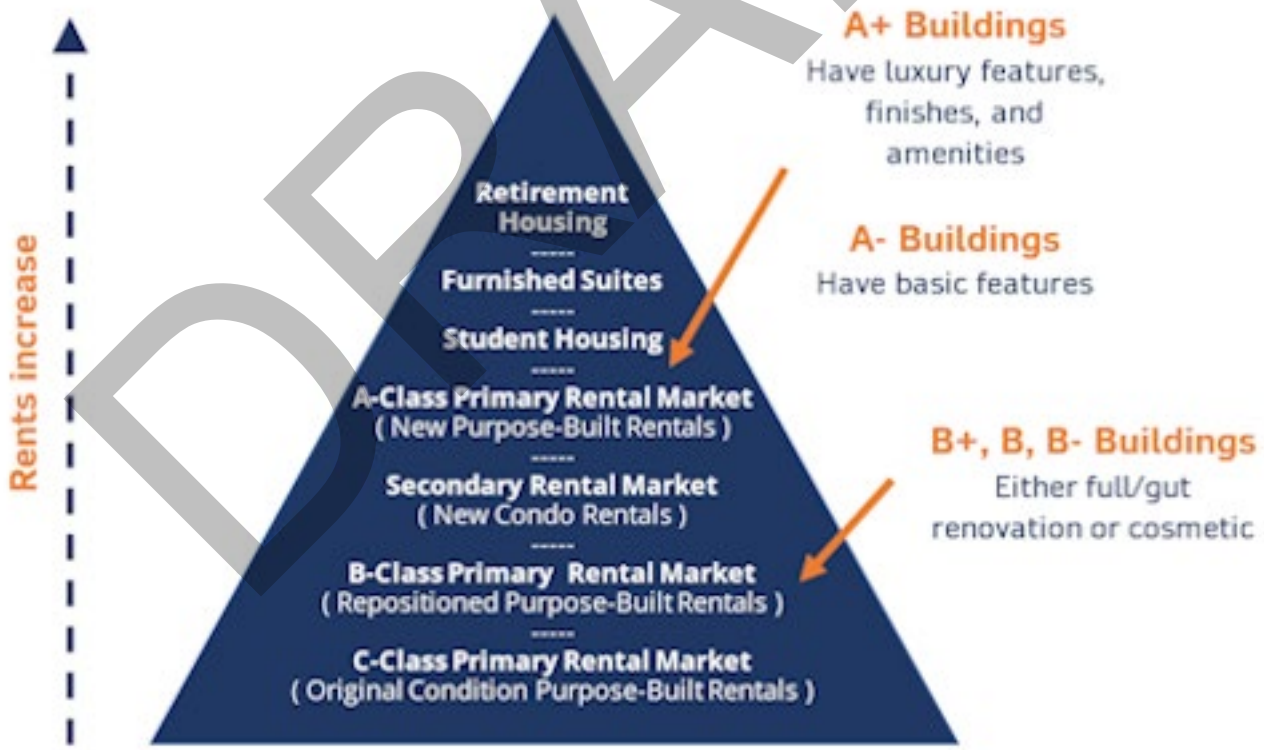
9 – COMPETITIVE MARKET ANALYSIS

"Who's my competition?"

In this section, the analysis begins by examining the theoretical pricing structure of rental apartment markets. It then proceeds to evaluate the macro rental market context using data from CMHC. Furthermore, a comprehensive market survey is conducted to identify primary rental comparables (A, B, and C class) and secondary rental comparables, considering rental rates, unit sizes, and overall building quality.

Understanding the theoretical market structure of the rental market is vital for determining the current and future market positioning of specific buildings and building classes, including conventional rentals, condo rentals, student housing, and retirement apartments. The pricing and quality rankings of rentals in major rental markets in Canada can be organized as follows:



Housing Markets

Source: SVN Rock Advisors

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Large rental housing markets often present complexities in defining the "value proposition" of rental apartments, where the relationship between perceived quality, appeal, and achieved rents isn't always straightforward. Sometimes, when examining a rental market, exceptions to the theoretical market structure can indicate inefficiencies, leading to pricing that does not necessarily reflect a strict hierarchy of value to renters.

The highest rents in any rental housing market are usually achieved by newly constructed, purpose-built rental apartment properties. Properties in this category are generally very desirable to renters, especially so-called 'lifestyle renters' who value quality as much as price. The highest returns are usually achieved by purpose-built student housing, since more students can be packed into the same square footage than conventional renters, which means a much higher rent per square foot. The next highest rents are usually achieved by condominium-rentals, which typically do not achieve rents as high as newly constructed apartments. This is because individual condo owners tend to be interested in capital gains, not yields, and are setting prices based on what they need to cover their mortgage, for example, rather than what the market will bear. Additionally, individual condo owners rarely possess good market knowledge, and none have the support of a professional marketing and leasing organization.

Among old-stock rental apartment properties, there is a pricing stratification based on the level of renovations. Old-stock rental properties which remain in original condition, subject only to cleaning and minor repairs on turnover, usually achieve the lowest rents in the rental market. Old-stock properties which have undergone 'cosmetic' renovations or upgrades—such as new cabinetry, lights, and fixtures—are more desirable to renters than properties in original condition and usually achieve significantly higher rents in most rental markets. However, old-stock properties which have undergone a full 'gut' renovation almost always achieve the highest rents among old-stock rentals. These are rental properties which have been stripped of all old cabinetry, fixtures, lights, and common area elements and had brand-new equipment and finishes installed. This sort of transformation justifies significant rent increases in the eyes of renters, with some 'gut' renovated properties achieving rents approaching newly constructed rentals.

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9.1 – Average Rent

NO DATA FOR TRADE AREA DUE TO LACK OF SUPPLY

Average rental rates for the primary rental market, as recorded by CMHC, are shown below for the Eco Bay, St. Josephs Island & Bruce Mines region and benchmark locales. Average rents are indicative of the overall rental rate being achieved in a geographical area but should be treated with caution, as they include buildings of all sizes, ages, and locations within a city.

	Bachelor	1-Bed	2-Bed	3-Bed	Average	$ Change (1 year)
Barrie (CY)	$1,145	$1,430	$1,612	$1,756	**$1,551**	$64
Greater Sudbury / Grand Sudbury (CMA)	$877	$1,043	$1,367	$1,471	**$1,251**	$106
Thunder Bay (CY)	$823	$1,054	$1,321	$1,511	**$1,237**	$135
North Bay (CY)	$737	$989	$1,255	$1,331	**$1,185**	$96
Timmins (CY)	$828	$1,035	$1,228	$1,324	**$1,167**	$137
Sault Ste. Marie (CY)	$695	$956	$1,187	$1,161	**$1,104**	$61
Elliot Lake (CA)	$787	$796	$892	$1,008	**$890**	$133
Eco Bay, St. Josephs Island & Bruce Mines	-	-	-	-	**-**	-

Comparison Cities: Average Rents

Source: SVN Rock Advisors w/ CMHC (2024)

Note: ** indicates a lack of data provided by CMHC and is usually due to lack of sample size to give an accurate average rental rate.

There is a lack of CMHC data in the subject site area, so average rents cannot be identified. Sault Ste. Marie has an overall average rent of $1,104 for 2024, with a change of $61 from the prior year. While average rents for Sault Ste. Marie are low comparatively, the increase of $61 in average rents is an indication of a healthy rental market where buildings can increase their rents on an annual basis. It is important to note that the rents are based primarily of old-stock rentals and as such not directly indicative of the potential rents for new stock rental buildings.

When the Client brings their new rental building on stream, it is expected that this will have a very strong impact on the community's average rent figures, as there are very few rental developments located in Richards Landing. When brought to market the subject site is poised to attain significantly higher rents than those of existing old-stock rental comparables.

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9.2 – CMHC vs Current Marketplace Rents

LARGE GAP DUE TO LIMITED NEW CONSTRUCTION PRODUCT

The average rental rates reported by CMHC can be influenced by factors such as a large supply of new high-end purpose-built apartment buildings, which can inflate the average. Conversely, cities with few or no high-end buildings and low-quality apartment stock may show lower average rents. It is important to note that the average listed rent represents a statistical midpoint, with half of the properties achieving rents above this figure, as report by CMHC.

To illustrate the limitations of relying on CMHC average rental rate data, below are two case studies of purpose-built rental apartment buildings achieving rental rates substantially higher than the CMHC averages.

City	Address	Actual Rent	Average CMHC Rent	Gap
Sault Ste. Marie CY	602 MacDonald Avenue	$1,695	$1,187	$508
Sault Ste. Marie CY	18 Ferguson Avenue	$1,875	$1,187	$688

Comparison Cities: CMHC vs Current Marketplace Rents

Source: SVN Rock Advisors w/ CMHC (2024)

A recently constructed building, Hillcrest located at 602 MacDonald Avenue in Sault Ste. Marie achieves rent significantly higher than the CMHC average rental rate. Similarly, The Continental located at 18 Ferguson Avenue is a recently renovated rental development in Sault Ste. Marie that achieves rental rates substantially higher than the CMHC average rental rate.

The rents listed above are starting rents, meaning that the difference between the asking rent and CMHC average rents is a base figure with many units achieving significantly higher rental premiums over the listed average rent. The proposed development, if brought to market as a purpose-built rental development, will achieve rents higher than the CMHC average rents in Sault Ste. Marie and broader communities as it will be the newest and market-leading property in the market.

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9.3 – Average Vacancy Rates

LOW VACANCY RATES IN CATCHMENT AREA

Average vacancy rates are often a function of the supply of format apartment units, population growth, demographic structure, and the housing market. It is important to note that while low vacancy can be a strong indicator for demand, it must be analyzed along with other indicators such as the size of the rental universe, because small rental universes will naturally have lower vacancy rates, therefore it does not automatically indicate strong demand.

	Bachelor	1-Bed	2-Bed	3-Bed	Average	% Change (1 year)
Thunder Bay (CY)	3.6%	3.8%	2.3%	2.7%	**2.9%**	1.1%
Barrie (CY)	-	2.8%	3.0%	0.9%	**2.7%**	0.5%
Timmins (CY)	-	1.4%	-	-	**2.5%**	(1.3%)
North Bay (CY)	-	0.6%	-	-	**2.4%**	(0.2%)
Elliot Lake (CA)	-	1.8%	1.9%	2.4%	**2.0%**	0.1%
Sault Ste. Marie (CY)	-	1.7%	1.8%	2.2%	**1.8%**	(0.2%)
Greater Sudbury / Grand Sudbury (CMA)	2.1%	0.7%	1.1%	-	**1.1%**	(1.0%)
Eco Bay, St. Josephs Island & Bruce Mines	-	-	-	-	**-**	-

Comparison Cities: Average Vacancy Rates

Source: SVN Rock Advisors w/ CMHC (2024)
Note: ** indicates a lack of data provided by CMHC and is usually due to lack of sample size to give an accurate rental rate.

The average vacancy rates displayed above have been collected from CMHC, which records the vacancy rate by unit type across the primary rental markets. Sault Ste. Marie has experienced low vacancy rates which are an indication of a rental market with significant room for new development. Low turnover can often be a sign of either a lack of new development, and/or a market where building owners are not proactive in increasing rents over time. Due to a lack of data, the vacancy rates of the Eco Bay, St. Josephs Island & Bruce Mines region are undetermined, but due to their proximity, the subject site area would likely be in line with Sault Ste. Marie.

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10 – PRIMARY MARKET ANALYSIS

"What's my competition?"

To complete a comprehensive market analysis, rental data was collected on two categories of rental apartment buildings:

1. New or recently renovated rental buildings near the subject site. These buildings command top-of-the market rents and are comparable to the subject proposed property.
2. Old-stock rental buildings near the subject site. These buildings will typically achieve lower rents compared to new or recently renovated rental buildings.

The analysis of these buildings, combined with the observed demographic and economic statistics in the subject area, provides insight into the potential rental rates that the Client could achieve for the proposed rental development.

10.1 – New Rental Comparables

New rental comparables are listed, mapped, and detailed in the following pages.

Address	Building Name
1207 B Catherine Street, Richards Landing, ON	Richards Landing Senior Complex
1168 Richards Street, Richards Landing, ON	--
17 Terry Fox Place, Sault Ste. Marie, ON	Fox Court
43 Sinclair Drive, Sault Ste. Marie, ON	Eastside Village Townhomes
602 MacDonald Avenue, Sault Ste. Marie, ON	Hillcrest
379 Lake Street, Sault Ste. Marie, ON	Lake Street
18 Ferguson Avenue, Sault Ste. Marie, ON	The Continental
621, 627 & 631 MacDonald Avenue, Sault Ste. Marie, ON	Heritage Place
36 Boehmer Boulevard, Sault Ste. Marie, ON	Rosewood Place
157 Willow Avenue, Sault Ste. Marie, ON	--
155 Willow Avenue, Sault Ste. Marie, ON	--
96 Great Northern Road, Sault Ste. Marie, ON	Royal Canadian Legion Branch 25
110 Pim Street, Sault Ste. Marie, ON	One Ten Pim
676 Bay Street, Sault Ste. Marie, ON	River Park Manor
275 Albert Street E, Sault Ste. Marie, ON	Campbell Place
347 Hyland Drive, Sudbury, ON P3E 0G6	--
1699 Paris Street, Sudbury, ON P3E 3C4	Lakeview Apartments
1351 Paris Street, Sudbury, ON P3E 3B6	1351 Paris Street
1182 Cardinal Court, Sudbury, ON P3A 3C1	Churchill Residence

New Rental Comparables

Source: SVN Rock Advisors

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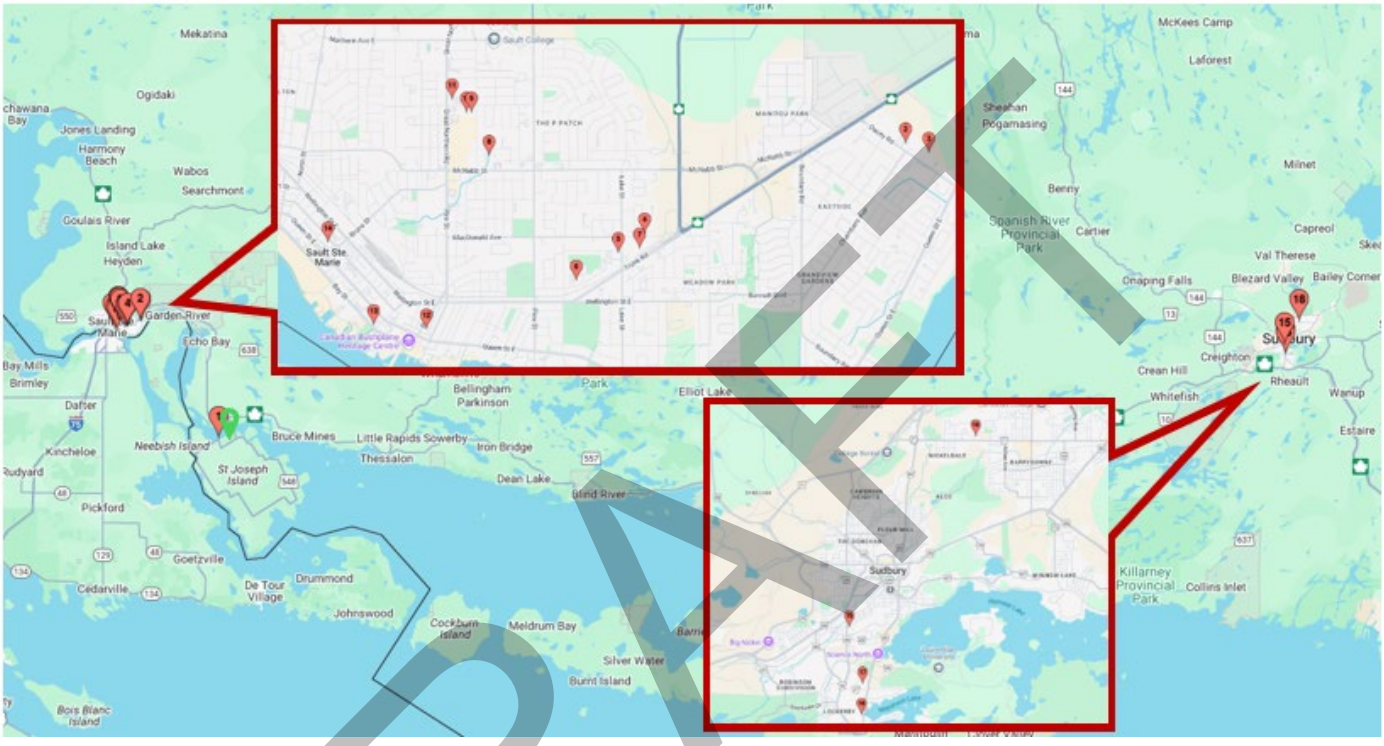
The map below shows the geographics relationship between the new rental comparables and the subject site.



Subject Site New Rental Comparable

New Rental Comparables Map

Source: SVN Rock Advisors w/ Google Earth (2025)

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Over the next several pages, details for each of the new rental comparables are presented.

Richards Landing Senior Complex

1207 B Catherine Street
Richards Landing, ON

Owner:
Algoma District Services Administration Board

Year Built:	2020
Num Units:	12
Walk Score:	35
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

-

Unit Features:

Insuite W/D

Unit Type	Num Units	SF	Rent	Rent/SF
1/1 Affordable Rent			$569	
1/1 Market Rent			$813	
2/1 Affordable Rent			$927	
2/1 Market Rent			$1,324	
CV Parking			Included	

New Rental Comparable #1

1207 B Catherine Street, Richards Landing, ON

Source: SVN Rock Advisors

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--

1168 Richards Street
Richards Landing, ON

Owner:
Joe Wiederker

Year Built:	No Data
Num Units:	5
Walk Score:	36
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.75

Building Amenities:

-

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
2/1		800	$2,200	$2.75
SF Parking			Included	

New Rental Comparable #2

1168 Richards Street, Richards Landing, ON

Source: SVN Rock Advisors

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Fox Court

17 Terry Fox Place
Sault Ste. Marie, ON

Owner:
2673772 Ontario Inc

Year Built:	1981
Num Units:	12
Walk Score:	26
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$1.83

Building Amenities:

Storage Lockers | Terrace

Unit Features:

Balcony

Unit Type	Num Units	SF	Rent	Rent/SF
1/1	1	864	$1,625	$1.88
2/1	11	959	$1,710	$1.78
SF Parking	14		Included	

New Rental Comparable #3

17 Terry Fox Place, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Eastside Village Townhomes

43 Sinclair Drive
Sault Ste. Marie, ON

Owner:
Williams & McDaniel Property Management

Year Built:	2022
Num Units:	12
Walk Score:	9
Transit Score:	-
Utilities:	Plus Utilities
Avg Rent/SF:	$2.23

Building Amenities:

-

Unit Features:

A/C | Dishwasher | Microwave | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
2/1 TH	12	1,000	$2,225	$2.23
SF Parking			Included	

New Rental Comparable #4

43 Sinclair Drive, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Hillcrest

602 MacDonald Avenue
Sault Ste. Marie, ON

Owner:
TJG Properties Inc

Year Built:	1985
Num Units:	35
Walk Score:	53
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.45

Building Amenities:

Terrace

Unit Features:

Balcony | In-Suite Storage

Unit Type	Num Units	SF	Rent	Rent/SF
0/1	1	500	$1,395	$2.79
1/1	7	650	$1,495	$2.30
2/1	27	750	$1,695	$2.26
SF Parking	29		Included	

New Rental Comparable #5

602 MacDonald Avenue, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Lake Street

379 Lake Street
Sault Ste. Marie, ON

Owner:
The Skyline Group of Companies

Year Built:	1965
Num Units:	69
Walk Score:	69
Transit Score:	-
Utilities:	Plus Hydro
Avg Rent/SF:	$2.69

Building Amenities:

Keyless Security

Unit Features:

Balcony | Dishwasher | Granite/Quartz Countertops | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
0/1		370	$1,265	$3.42
1/1		603	$1,460	$2.42
2/1		753	$1,675	$2.22
SF Parking			Included	

New Rental Comparable #6

379 Lake Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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The Continental

18 Ferguson Avenue
Sault Ste. Marie, ON

Owner:
Continental Apartments

Year Built:	1990
Num Units:	38
Walk Score:	62
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.62

Building Amenities:

-

Unit Features:

Balcony

Unit Type	Num Units	SF	Rent	Rent/SF
0/1	1	500	$1,625	$3.25
1/1	15	650	$1,725	$2.65
2/1	18	800	$1,875	$2.34
3/1	4	900	$1,999	$2.22
SF Parking	29		Included	
SF Parking - 2nd Spot			$60	
UG Parking	21		$75	

New Rental Comparable #7

18 Ferguson Avenue, Sault Ste. Marie, ON

Source: SVN Rock Advisors

DRAFT

Heritage Place

621, 627 & 631 MacDonald Avenue
Sault Ste. Marie, ON

Owner:
The Skyline Group of Companies

Year Built:	1985
Num Units:	271
Walk Score:	67
Transit Score:	-
Utilities:	Plus Hydro
Avg Rent/SF:	$2.44

Building Amenities:

Fitness Centre | Keyless Security | Lounge | Party Room | Security Cameras | Storage Lockers

Unit Features:

Dishwasher | In-Suite Storage | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
1/1		593	$1,515	$2.55
2/1		620	$1,655	$2.67
3/1		900	$1,895	$2.11
SF Parking			$31	
Bicycle Storage			Included	

New Rental Comparable #8

621, 627 & 631 MacDonald Avenue, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Rosewood Place

36 Boehmer Boulevard
Sault Ste. Marie, ON

Owner:
Barbara Holdings Inc

Year Built:	No Data
Num Units:	38
Walk Score:	71
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

-

Unit Features:

Balcony

Unit Type	Num Units	SF	Rent	Rent/SF
0/1			$1,295	
1/1			$1,495	
2/1			$1,725	
PH 2/1			$2,120	
SF Parking			Included	

New Rental Comparable #9

36 Boehmer Boulevard, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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--
157 Willow Avenue
Sault Ste. Marie, ON

Owner:
Febbraro Enterprises Inc

Year Built:	No Data
Num Units:	18
Walk Score:	73
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

-

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
1/1	3		$1,500	
2/1	12		$1,850	
SF Parking			Included	

New Rental Comparable #10
157 Willow Avenue, Sault Ste. Marie, ON
Source: SVN Rock Advisors

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--
155 Willow Avenue
Sault Ste. Marie, ON

Owner:
Febbraro Enterprises Inc

Year Built:	No Data
Num Units:	18
Walk Score:	73
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

-

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
1/1	3		$1,500	
2/1	12		$1,850	
SF Parking			Included	

New Rental Comparable #11
155 Willow Avenue, Sault Ste. Marie, ON
Source: SVN Rock Advisors

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Royal Canadian Legion Branch 25

96 Great Northern Road
Sault Ste. Marie, ON

Owner:
SalDan Construction Group

Year Built:	2024
Num Units:	108
Walk Score:	82
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

Concierge | Keyless Security | Party Room | Security Cameras

Unit Features:

A/C | Balcony | Dishwasher | Insuite W/D | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
1/1 Affordable Rent			$984	
1/1 Market Rent			$2,400	
2/1 Affordable Rent			$1,055	
2/1 Market Rent			$2,500	
2/2 Market Rent			$3,000	
SF Parking			Included	

New Rental Comparable #12

96 Great Northern Road, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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One Ten Pim

110 Pim Street
Sault Ste. Marie, ON

Owner:
The Perzia Group Ltd

Year Built:	2025
Num Units:	108
Walk Score:	82
Transit Score:	-
Utilities:	Plus Hydro
Avg Rent/SF:	$3.00

Building Amenities:

BBQ Area | Business Centre | Concierge | Fitness Centre | Keyless Security | Lounge | Party Room | Sauna

Unit Features:

A/C | Dishwasher | Granite/Quartz Countertops | Microwave | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
0/1		450	$1,575	$3.50
0/1		450	$1,300	$2.89
1/1		799	$2,000	$2.50
1/1		535	$1,500	$2.80
1/1		535	$1,900	$3.55
2/1		904	$2,400	$2.65
2/1		701	$2,150	$3.07
SF Parking			$60	

New Rental Comparable #13

110 Pim Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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River Park Manor

676 Bay Street
Sault Ste. Marie, ON

Owner:
Sar Gin Developments (Sault)

Year Built:	2015
Num Units:	40
Walk Score:	80
Transit Score:	-
Utilities:	Plus Utilities
Avg Rent/SF:	$2.13

Building Amenities:

Keyless Security | Party Room

Unit Features:

A/C | Balcony | Dishwasher | Granite/Quartz Countertops | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
2/1		800	$1,700	$2.13
SF Parking			Included	

New Rental Comparable #14

676 Bay Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Campbell Place

275 Albert Street E
Sault Ste. Marie, ON

Owner:
Williams & McDaniel Property Management

Year Built:	1982
Num Units:	108
Walk Score:	92
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.08

Building Amenities:

Keyless Security | Party Room

Unit Features:

Balcony | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
1/1	43	740	$1,625	$2.20
2/1	65	870	$1,825	$2.10
2/1 Den		1,010	$1,975	$1.96
CV Parking			$75	
SF Parking			Included	
SF Parking - 2nd Spot			$60	

New Rental Comparable #15

275 Albert Street E, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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-

347 Hyland Drive
Sudbury, ON

Owner:
Butera Group Inc/Panoramic Properties Inc

Year Built:	2016
Num Units:	65
Walk Score:	54
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.80

Building Amenities:

Fitness Centre | Keyless Security | Party Room | Security Cameras | Terrace |

Unit Features:

A/C | Dishwasher | Granite/Quartz Countertops | In-suite W/D | S/S Appliances

Unit Type	Num Units	SF	Rent	Rent/SF
1/1		700	$2,399	$3.43
1/1 Den		875	$2,699	$3.08
1/1.5 Den TH		1,500	$2,899	$1.93
1/2		825	$2,399	$2.91
1/2 Den TH		1,412	$3,499	$2.48
2/2		1,086	$2,999	$2.76
2/2 Den		1,090	$3,299	$3.03
SF Parking			Included	

New Rental Comparable #16

347 Hyland Drive, Sudbury, ON

Source: SVN Rock Advisors

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Lakeview Apartments

1699 Paris Street
Sudbury, ON

Owner:
Regent North Properties Inc

Year Built:	2009
Num Units:	12
Walk Score:	73
Transit Score:	-
Utilities:	Plus Heat & Hydro
Avg Rent/SF:	$2.00

Building Amenities:

Keyless Security |

Unit Features:

A/C | Balcony | Dishwasher | In-Suite Storage | Insuite W/D | In-suite W/D | Microwave | Walk-In Closets

Unit Type	Num Units	SF	Rent	Rent/SF
2/2		1,200	$2,800	$2.33
3/1	8	1,800	$3,000	$1.67
UG Parking	12		Included	

New Rental Comparable #17
1699 Paris Street, Sudbury, ON
Source: SVN Rock Advisors

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1351 Paris Street

1351 Paris Street
Sudbury, ON

Owner:
Dalron Homes

Year Built:	2019
Num Units:	65
Walk Score:	41
Transit Score:	-
Utilities:	Plus Utilities
Avg Rent/SF:	$2.22

Building Amenities:

Keyless Security |

Unit Features:

A/C | Balcony | Dishwasher | Granite/Quartz Countertops | In-suite W/D | Microwave | S/S Appliances | Walk-In Closets

Unit Type	Num Units	SF	Rent	Rent/SF
3/2		1,440	$3,200	$2.22
SF Parking			Included	
UG Parking			Included	

New Rental Comparable #18

1351 Paris Street, Sudbbury, ON

Source: SVN Rock Advisors

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Churchill Residence

1182 Cardinal Court
Sudbury, ON

Owner:
1182 Cardinal Court Realty Inc

Year Built:	2017
Num Units:	24
Walk Score:	75
Transit Score:	-
Utilities:	Plus Heat & Hydro
Avg Rent/SF:	$2.55

Building Amenities:

Keyless Security | Security Cameras |

Unit Features:

A/C | Balcony | Dishwasher | In-Floor Heating | Insuite W/D | S/S Appliances | Walk-In Closets (select suites)

Unit Type	Num Units	SF	Rent	Rent/SF
2/2	16	1,100	$2,800	$2.55
SF Parking			Included	

New Rental Comparable #19
1182 Cardinal Court, Sudbury, ON
Source: SVN Rock Advisors

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10.2 – Old Rental Comparables

Older rental comparables are listed, mapped, and detailed in the following pages.

Address	Building Name
1207 A Catherine Street, Richards Landing, ON	Twin Rocks
3129 South Street, Hilton Beach, ON	Island Villa
99 Cambridge Place, Sault Ste. Marie, ON	-
136 Cambridge Place, Sault Ste. Marie, ON	Cambridge Heights
47-55 Lewis Road, Sault Ste. Marie, ON	Lewis Court
43 Lewis Road, Sault Ste. Marie, ON	Lewis Court
652 MacDonald Avenue, Sault Ste. Marie, ON	MacDonald Apartments
420 A & B McNabb Street, Sault Ste. Marie, ON	Hemlock Place
130 Allard Street, Sault Ste. Marie, ON	Ruscio Villa
130 Kohler Street, Sault Ste. Marie, ON	Ginmar Manor
70 East Street, Sault Ste. Marie, ON	-
715 Douglas Street, Sault Ste. Marie, ON	Elmwood Place
537 Cooper Street, Sault Ste. Marie, ON	Cooper Place
551 Cooper Street, Sault Ste. Marie, ON	Cooper Terrace

Old Rental Comparables

Source: SVN Rock Advisors

The map below shows the geographical relationship between the old rental comparables and the subject site.

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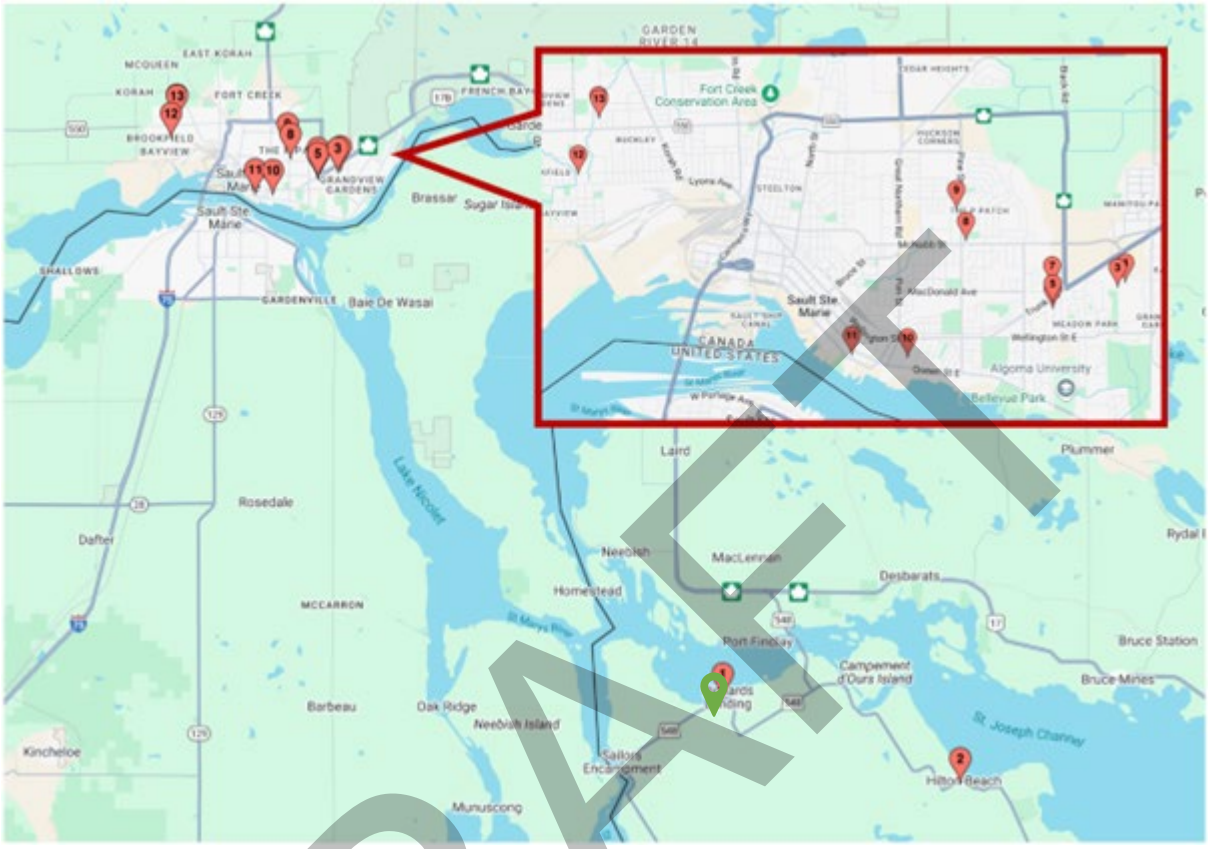

Subject Site Old Rental Comparable

Old Rental Comparables Map

Source: SVN Rock Advisors w/ Google Earth (2025)

Over the next several pages, details for each of the old rental comparables are presented.

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Twin Rocks

1207 A Catherine Street
Richards Landing, ON

Owner:
Algoma District Services Administration Board

Year Built:	No Data
Num Units:	12
Walk Score:	35
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

-

Unit Features:

Insuite W/D

Unit Type	Num Units	SF	Rent	Rent/SF
1/1 Affordable Rent			$555	
1/1 Market Rent			$793	
2/1 Affordable Rent			$627	
2/1 Market Rent			$895	
CV Parking			Included	

Old Rental Comparable #1

1207 A Catherine Street, Richards Landing, ON

Source: SVN Rock Advisors

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Island Villa

3129 South Street
Hilton Beach, ON

Owner:
Algoma District Services Administration Board

Year Built:	No Data
Num Units:	17
Walk Score:	19
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$1.25

Building Amenities:

Party Room

Unit Features:

Balcony (select suites)

Unit Type	Num Units	SF	Rent	Rent/SF
1/1 Affordable Rent		500	$513	$1.03
1/1 Market Rent		500	$733	$1.47
SF Parking			Included	

Old Rental Comparable #2

3129 South Street, Hilton Beach, ON

Source: SVN Rock Advisors

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-
99 Cambridge Place
Sault Ste. Marie, ON

Owner:
Elstrong Management Ltd

Year Built:	No Data
Num Units:	23
Walk Score:	46
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.16

Building Amenities:
Storage Lockers

Unit Features:
Balcony (select suites)

Unit Type	Num Units	SF	Rent	Rent/SF
1/1		650	$1,425	$2.19
2/1		750	$1,595	$2.13
SF Parking			Included	

Old Rental Comparable #3
99 Cambridge Place, Sault Ste. Marie, ON
Source: SVN Rock Advisors

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Cambridge Heights

136 Cambridge Place
Sault Ste. Marie, ON

Owner:
TJG Properties Inc

Year Built:	1977
Num Units:	17
Walk Score:	49
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$1.89

Building Amenities:

Keyless Security | Security Cameras | Storage Lockers | Terrace

Unit Features:

Balcony

Unit Type	Num Units	SF	Rent	Rent/SF
1/1	4	799	$1,535	$1.92
2/1	11	900	$1,710	$1.90
3/1	2	1,036	$1,910	$1.84
SF Parking	21		Included	

Old Rental Comparable #4

136 Cambridge Place, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Lewis Court

47-55 Lewis Road
Sault Ste. Marie, ON

Owner:
TJG Properties Inc

Year Built:	1976
Num Units:	28
Walk Score:	66
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.11

Building Amenities:

Storage Lockers

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
1/1		695	$1,535	$2.21
2/1		754	$1,710	$2.27
3/1		1,036	$1,910	$1.84
SF Parking	36		Included	

Old Rental Comparable #5

47-55 Lewis Road, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Lewis Court

43 Lewis Road
Sault Ste. Marie, ON

Owner:
TJG Properties Inc

Year Built:	1969
Num Units:	22
Walk Score:	66
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.11

Building Amenities:

Keyless Security | Security Cameras | Storage Lockers

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
1/1		695	$1,535	$2.21
2/1		754	$1,710	$2.27
3/1		1,036	$1,910	$1.84
SF Parking	29		Included	

Old Rental Comparable #6

43 Lewis Road, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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MacDonald Apartments

652 MacDonald Avenue
Sault Ste. Marie, ON

Owner:
Strategic Growth Realty Group Inc

Year Built:	1985
Num Units:	61
Walk Score:	43
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	$2.49

Building Amenities:

Keyless Security | Security Cameras

Unit Features:

Balcony | In-suite W/D | Reno'd Units

Unit Type	Num Units	SF	Rent	Rent/SF
1/1		500	$1,400	$2.80
2/1		600	$1,600	$2.67
3/1		900	$1,800	$2.00
SF Parking	80		Included	

Old Rental Comparable #7

652 MacDonald Avenue, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Hemlock Place

420 A & B McNabb Street
Sault Ste. Marie, ON

Owner:
SSM Properties Ltd

Year Built:	1964
Num Units:	12
Walk Score:	59
Transit Score:	-
Utilities:	Plus Hydro
Avg Rent/SF:	--

Building Amenities:

-

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
1/1			$1,475	
2/1			$1,645	
SF Parking			Included	

Old Rental Comparable #8

420 A & B McNabb Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Ruscio Villa

130 Allard Street
Sault Ste. Marie, ON

Owner:
The Skyline Group of Companies

Year Built:	No Data
Num Units:	45
Walk Score:	61
Transit Score:	-
Utilities:	Plus Hydro
Avg Rent/SF:	$2.71

Building Amenities:

Keyless Security | Lounge | Party Room | Security Cameras | Storage Lockers

Unit Features:

Balcony

Unit Type	Num Units	SF	Rent	Rent/SF
1/1	9	561	$1,655	$2.95
2/1	20	648	$1,845	$2.85
3/1	815	815	$1,895	$2.33
SF Parking			$31	

Old Rental Comparable #9

130 Allard Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Ginmar Manor

130 Kohler Street
Sault Ste. Marie, ON

Owner:
Sar Gin Developments (Sault)

Year Built:	No Data
Num Units:	50
Walk Score:	70
Transit Score:	-
Utilities:	Plus Hydro
Avg Rent/SF:	$1.92

Building Amenities:

Fitness Centre | Keyless Security | Sauna | Storage Lockers

Unit Features:

Balcony | Dishwasher

Unit Type	Num Units	SF	Rent	Rent/SF
1/1		600	$1,100	$1.83
2/1		800	$1,600	$2.00
SF Parking			$20	
UG Parking			$35	

Old Rental Comparable #10

130 Kohler Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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-
70 East Street
Sault Ste. Marie, ON

Owner:
VJ Property Management Inc

Year Built:	No Data
Num Units:	127
Walk Score:	58
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

-

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
1/1			$1,200	
SF Parking			$50	

Old Rental Comparable #11

70 East Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Elmwood Place

715 Douglas Street
Sault Ste. Marie, ON

Owner:
SSM Properties Ltd

Year Built:	No Data
Num Units:	11
Walk Score:	36
Transit Score:	-
Utilities:	Plus Hydro
Avg Rent/SF:	$1.93

Building Amenities:

-

Unit Features:

-

Unit Type	Num Units	SF	Rent	Rent/SF
2/1		800	$1,545	$1.93
SF Parking			Included	

Old Rental Comparable #12

715 Douglas Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Cooper Place

537 Cooper Street
Sault Ste. Marie, ON

Owner:
SSM Properties Ltd

Year Built:	No Data
Num Units:	30
Walk Score:	28
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

Keyless Security

Unit Features:

Balcony

Unit Type	Num Units	SF	Rent	Rent/SF
1/1	11		$1,550	
2/1	11		$1,695	
3/1	8		$1,895	
SF Parking	39		Included	

Old Rental Comparable #13

537 Cooper Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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Cooper Terrace

551 Cooper Street
Sault Ste. Marie, ON

Owner:
2673664 Ontario Ltd

Year Built:	No Data
Num Units:	43
Walk Score:	50
Transit Score:	-
Utilities:	Inclusive
Avg Rent/SF:	--

Building Amenities:

Keyless Security

Unit Features:

Balcony

Unit Type	Num Units	SF	Rent	Rent/SF
0/1	1		$1,495	
1/1	8		$1,550	
2/1	31		$1,695	
3/1	3		$2,050	
SF Parking	49		Included	

Old Rental Comparable #14

551 Cooper Street, Sault Ste. Marie, ON

Source: SVN Rock Advisors

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10.3 – Parking Comparables

The table below summarizes parking rates for comparable new and old rental buildings.

Address	UG Parking Fee	SF Parking Fee
1207 B Catherine Street, Richards Landing, ON	-	-
1168 Richards Street, Richards Landing, ON	-	Included
17 Terry Fox Place, Sault Ste. Marie, ON	-	Included
43 Sinclair Drive, Sault Ste. Marie, ON	-	Included
602 MacDonald Avenue, Sault Ste. Marie, ON	-	Included
379 Lake Street, Sault Ste. Marie, ON	-	Included
18 Ferguson Avenue, Sault Ste. Marie, ON	$75	Included
621, 627 & 631 MacDonald Avenue, Sault Ste. Marie, ON	-	$31
36 Boehmer Boulevard, Sault Ste. Marie, ON	-	Included
157 Willow Avenue, Sault Ste. Marie, ON	-	Included
155 Willow Avenue, Sault Ste. Marie, ON	-	Included
96 Great Northern Road, Sault Ste. Marie, ON	-	Included
110 Pim Street, Sault Ste. Marie, ON	-	$60
676 Bay Street, Sault Ste. Marie, ON	-	Included
275 Albert Street E, Sault Ste. Marie, ON	-	Included

Parking Comparables: New Buildings

Source: SVN Rock Advisors

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Address	UG Parking Fee	SF Parking Fee
1207 A Catherine Street, Richards Landing, ON	-	-
3129 South Street, Hilton Beach, ON	-	Included
99 Cambridge Place, Sault Ste. Marie, ON	-	Included
136 Cambridge Place, Sault Ste. Marie, ON	-	Included
47-55 Lewis Road, Sault Ste. Marie, ON	-	Included
43 Lewis Road, Sault Ste. Marie, ON	-	Included
652 MacDonald Avenue, Sault Ste. Marie, ON	-	Included
420 A & B McNabb Street, Sault Ste. Marie, ON	-	Included
130 Allard Street, Sault Ste. Marie, ON	-	$31
130 Kohler Street, Sault Ste. Marie, ON	$35	$20
70 East Street, Sault Ste. Marie, ON	-	$50
715 Douglas Street, Sault Ste. Marie, ON	-	Included
537 Cooper Street, Sault Ste. Marie, ON	-	Included
551 Cooper Street, Sault Ste. Marie, ON	-	Included

Parking Comparables: Old Buildings

Source: SVN Rock Advisors

Based on rental comparables in the surrounding market, parking rates of $50 for surface parking appear suitable.

10.4 – New Construction Case Studies

Included below are a series of case studies of new rental apartments built within broader communities. These developments represent newly constructed purpose-built apartments across Ontario that showcase functional unit layouts and strong amenity packages.

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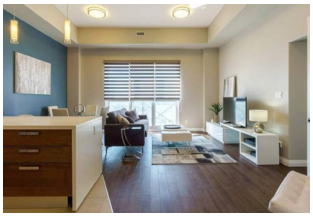
LOCATION

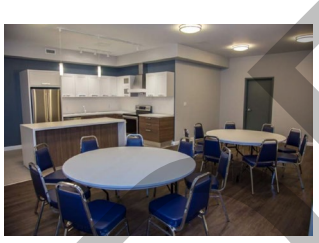
347 Hyland Drive is a low-rise building located in Sudbury and built in 2016. The building is located near public transportation, coffee shops, and parks such as Bell Park located only 1.4km away. This area is considered to be car-dependent due to the minimal public transit services in the area, and relatively low walkability as represented by a walk score of 31.

UNITS



This property's unit mix consists of studio, one-bedroom, one-bedroom with den, two-bedroom, and two-bedroom with den units. Units offer an open concept layout with imported Italian cabinetry, and en-suite laundry, and individual temperature controls . The heat, hydro, and water are all included in the rent.

AMENITIES



The property offers a social room, gym, secured entry and video surveillance, BBQ area, surface parking spots and electrical vehicle charging ports.

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New Construction Case Study #1

Sudbury, ON | 347 Hyland Drive

Source: SVN Rock Advisors

LOCATION

Sixth Avenue Suites was formerly a hotel which was demolished and converted into a 3-storey building with 34 rental units. The site is located near downtown Timmins and has great connectivity, at 300m from Highway 101. The site also offers green space with Hollinger Park and Gillies Lake nearby. This location is considerably walkable, which is represented by a walk score of 68, with a variety of restaurant, retailers and grocers within a walking distance.

UNITS

Suites are available in two colour schemes and various layouts. This properties unit mix consists of one-bedroom and two-bedroom units. One-bedroom suites are between 450-590 SF in size, and two-bedroom suites are between 650-775 SF. Units are equipped with white coloured fridge, stove, and built-in microwave. The units also contain individual thermostat control, with heating and hydro in the rent.

AMENITIES

The property contains on-site laundry facility, on-site storage facility, parking with plug-in, social room, and intercom entry system.

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New Construction Case Study #2

Timmins, ON | Sixth Avenue Suites | 102-124 Sixth Avenue (HOTEL CONVERSION)

Source: SVN Rock Advisors

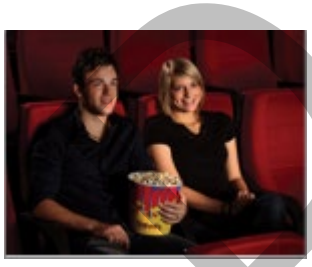
LOCATION

Developed by Medallion Development Corporation is one of Ajax's newest apartment buildings. The property includes a large publicly accessible outdoor area at the centre of the development. It is accessible with proximity to the Ajax GO station, Highway 401, and local amenities such as the Ajax Community Centre.

UNITS

Units are available as one-beds, one-bed + den, two-beds, two-beds + den, and three-bed units in a variety of sizes ranging from 558 to 1,036 SF. Units feature mid-range features and finishes with laminate flooring, stone countertops, dishwashers, and individual temperature control. Some units also come with extended closets, storage rooms, and large open floorplan style kitchen and dining areas.

AMENITIES



This building provides a wide assortment of amenities. These amenities include a theatre room, fitness room, games room, party room, and lounge. In place of en-suite washer/ dryers the building offers a main floor laundry room accessible to all tenants.

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New Construction Case Study #3

Ajax, ON | 73 Bayly Street | Vision at Pay Bayly Square

Source: SVN Rock Advisors

11 – TARGET RESIDENT PROFILE

"Who's my target renter?"

Conventional renter profiles are outlined below, focusing on the primary types that align with the demographic characteristics of the surrounding area. These groups serve as broad concepts for target renter profiles. Based on these general recommendations, specific PRIZM5 groups that correspond to these categories are subsequently identified.

Group	Market Preferences	Likely Tenure
Luxury Renters (all age groups, high income)	Best units | Best views | Largest balconies	Multi-Year
Retirees (55+, high income)	1-Bed + Den | 2-Bed | Seeking primary residence	Multi-Year
Middle-Aged (no children) (mixed income)	1-Bed + Den | 2-Bed | Seeking primary residence	Multi-Year
Divorcees (middle-aged, middle income)	1-Bed + Den | 2-Bed | 2-Bed + Den	1 to 3 Years
Singles (high income 24-35, downsizers)	Bachelor | 1-Bed | 2-Bed (roommates)	Highest Turnover
Young Couples (no children) (mixed income 24-35)	1-Bed | 1-Bed + Den	1 to 3 Years
Young Families	2-Bed | 2-Bed + Den | 3-Bed	1 Year to Multi-Year
Students (19-24, low income)	1-Bed | 2-Bed | 3-Bed | 4-Bed (highest demand)	Highest Turnover

Propensity to Rent	**LOWEST**			**HIGHEST**

Recommended Target Renter Profiles

Source: SVN Rock Advisors

The renter profile at the subject site will have a relatively older demographic with middle-aged families and seniors/empty nesters. Each demographic profile tends to make decisions under different timeframes. Seniors/downsizers tent to make housing decisions slower than other renter types whereas young professionals typically make housing decisions faster. This would however be mitigated by the reduced

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turnover of older renters. Older demographic profiles have longer tenures when compared to young professionals.

A mixed demographic profile should consider a higher level of amenitization as well as comfort and refinement. The subject site should include specific amenity allocations that caters to each demographic profile that will ultimately reside at the subject site. As such premium finishes and features will help to attract a high-income renters that will wish to reside at the subject site.

12.1 – Detailed Demographic Profiles: Your Target Renters

The Consultant has reviewed the demographic characteristics of the neighbourhood and identified the following profiles as the ideal target renter for the proposed development, if brought to market as a purpose-built rental.

There are six distinct target renter groups identified by the Consultant and within each are individual household types. The high-level renter groups are summarized as follows:

Young Professionals	Middle Aged	Seniors/Empty Nesters
✓	✓	✓
12 - Eat, Play, Love	01 - The A-List	09 - Boomer Bliss
20 - New Asian Heights	02 - Wealthy & Wise	10 - Asian Achievement
22 - Indieville	03 - Asian Sophisticates	16 - Savvy Seniors
28 - Latte Life	06 - Downtown Verve	21 - Scenic Retirement
57 - Juggling Acts	07 - Mature & Secure	23 - Mid-City Mellow
	17 - Asian Avenues	31 - Metro Melting Pot
	18 - Multicultural Corners	44 - Un Grand Cru
	30 - South Asian Society	45 - Slow-Lane Suburbs
	32 - Diverse & Determined	
	39 - Evolution Urbaine	

Target Renter Profiles: Higher Income

Source: SVN Rock Advisors

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Young Professionals	Middle Aged	Seniors/Empty Nesters
✗	✗	✓
40 - Les Enerjeunes	43 - Happy Medium	51 - On Their Own Again
47 - Social Networkers	55 - Enclaves Multiethniques	53 - Silver Flats
52 - Friends & Roomies	56 - Jeunes Biculturels	58 - Old Town Roads
67 - Just Getting By	59 - La Vie Simple	62 - Suburban Recliners
	60 - Value Villagers	65 - Ages & Traditionnels
	61 - Came From Away	
	64 - Midtown Movers	

Target Renter Profiles: Lower Income

Source: SVN Rock Advisors

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12 – UNIT RECOMMENDATIONS

"What should I build?"

The Client's objective is to construct a building that not only surpasses existing properties in the area upon completion but also remains competitive for many years to come. The unit features and finishes outlined below are designed to cater to the target resident profile. These recommendations aim to establish the proposed property as a leader in the local rental market in terms of scope and quality.

There are several essential (non-negotiable) unit features that should be incorporated into any new market rental building:

1. Nine-foot ceilings
2. Two bathrooms in two-bedroom units
3. Modern finishes
4. Premium cabinetry, countertops, and appliances
5. In-suite washer and dryer

According to a recent survey conducted by multi-residential apartment owners, the top five most desirable features, in order include:

1. **In-suite washer and dryer**: Having a washer and dryer conveniently located within the unit is highly valued by renters, as it eliminates the need for shared laundry facilities and provides added convenience.

2. **Elevator access**: Easy access to upper floors through elevators is preferred by tenants, as it enhances convenience, especially for individuals with mobility challenges or heavy belongings.

3. **Designated parking and EV charging stations**: The availability of dedicated parking spaces, either in the form of individual assigned spots or a parking garage, is highly desired by tenants who own vehicles, as it provides convenience and security for their vehicles.

   Considering the growing interest in electric vehicles and the positive impact on tenant satisfaction, apartment developers and property managers are recognizing the importance of incorporating EV charging stations into their amenities and infrastructure to meet the evolving needs and preferences of tenants.

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4. **Balcony or outdoor space:** Having a balcony or access to outdoor space is a desirable feature for many renters, as it allows for fresh air, outdoor relaxation, and the opportunity to enjoy views or create a small garden area.

5. **High-speed internet**: Reliable and high-speed internet connectivity is essential for most tenants, as it enables them to work from home, stream media, and stay connected digitally.

It's important to note that preferences may vary depending on the specific market and tenant demographics, so it's advisable to conduct local market research to gain deeper insights into the preferences of the target rental audience.

Kitchen Appliances	Refrigerator, stove, dishwasher, microwave
En-Suite Laundry	En-suite washers and dryers are essential in modern rental buildings. Machines can be either full-size, if space allows, or stacked.
Breakfast Bar	Smaller-sized units benefit especially from the space-saving qualities of breakfast bars, but all unit types are helped to achieved more efficient layouts.
Sliding Doors on Dens	Dens will sometimes be used as extra bedrooms by residents and/or home offices so sliding doors make these extra spaces more useful and attractive to renters. Obviously, in units where dens are no larger than nooks, doors do not make sense.
Window Coverings	Make sure to provide blinds since residents will be left to their own devices and the outside appearance of the subject property will inevitably suffer when a few residents use flags or brightly coloured sheets as makeshift window covering.
Suite Alarms	Alarms are an attractive feature in luxury rentals.
Technology Connectivity	Connections in each room for electronics, computers, etc., since today's affluent renters own every electronic device imaginable.

Recommended Unit Features

Source: SVN Rock Advisors

Units need to have durable finishes that can withstand the higher turnover rate that is associated with renters. Therefore, unit finishes should be the best possible, but it is beyond the scope of this report to recommend specific finishes. Finishes in common areas and units should be like high-end condo units but using materials as indestructible as possible for longevity and turnover maintenance.

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"Do I need finishes on par with a condo building?"

There is a tendency for many developers to significantly downgrade finishes in rentals compared to condos. This would be a mistake since at the upper end of the rental market most renters could easily afford a condominium or house and are not keen on settling for less, so to speak. Increasingly, many renters are former homeowners who are seeking to downsize from their 4-bedroom detached house to a 2-bed or 2-bed plus den rental apartment unit, but still want to live in quality housing which reflects their current lifestyle and will serve as their primary residence for years to come. Going cheap on finishes might improve the project's construction budget, but it means coming to market with a B game instead of an A game.

Apartments	• Neutral off-white latex painted suites • Balconies and terrace area(s) and private patio(s) with exterior electrical receptacle • All suites are high-speed internet ready for multiple service providers • Pre-wired cable outlet in living room, bedroom(s), den, and media area • Designer window coverings in all suites • Premium porcelain floor and wall tiles in all bathrooms • Stacked white high efficiency front-loading washer and dryer • Hardwood style laminate flooring throughout • Mirrored sliding closets in all suites • Brushed metal door hardware
Kitchens	• In-suite stainless steel appliances • Designer kitchen cabinetry with brushed metal hardware • Quartz countertop with ceramic backsplash • Large kitchen island for extra storage and eat-in breakfast bar • Polished chrome kitchen faucet • Soft-close cabinets and drawers
Bathrooms	• Designer vanity cabinetry with brushed metal hardware • White cultured marble vanity top • Vanity-width shelf framed mirror • Polished chrome faucets in all bathrooms and powder rooms • Designer porcelain tiles in tub and shower enclosure • Chrome finished bathroom accessories • Dual flush, energy-efficient, low-flow, high-performance toilet(s)

Sample Unit Finishes

Source: SVN Rock Advisors

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14 – AMENITY RECOMMENDATIONS

"How much amenity space should I include? How do I program it to drive rents?"

Canadian apartment buildings, compared to luxury rentals in the United States, are generally considered to be "under-amenitized." As identified in the preceding market analysis, even the newest and best rental properties in the subject city lack extensive amenities, creating an opportunity to enter the market with superior amenities and establish market leadership. Incorporating carefully selected amenities with low capital costs will enhance the appeal of the subject property to renters and justify higher rental rates. Typically, amenity space in new apartment buildings ranges from 10 to 30 square feet per unit. However, to fully grasp the impact of amenities and implement them effectively, it is recommended that the Client tours upscale rental buildings in both the United States and Canada.

Certain amenities have a greater influence on marketability and rental rates in new buildings compared to others. The 2024 *Renter Preferences Survey Report* conducted by the National Multifamily Housing Council (NMHC), identified the top amenity features as:

1. In-unit washer/dryer
2. High-speed internet and WI-FI access
3. Soundproof walls
4. Noise-reducing window panes
5. Fitness centre or gym
6. Walk-in closets
7. Communal areas such as lounges and game rooms
8. Dog Park and Pet grooming station
9. On-site management
10. Storage spaces
11. Business Centre

By providing services alongside amenities, a new rental building can differentiate itself from the competition and meet the expectations of upscale and affluent renters. Including the widest possible range of building amenities is recommended in keeping with the proposed renter profile for the subject property: upmarket rentals at the top of the local rental market.

The initial step is to assess the list of amenities offered by local benchmark rental buildings and identify any gaps. By adding amenities that are lacking, the subject property can surpass the competition. However, the key to success lies in executing amenities in a creative, thoughtful, and visually appealing manner that captivates prospects, visitors and residents, creating a "wow" factor.

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14.1 – Typical Amenity Requirements by Target Renter Group

Earlier in this report, the target renter profiles for the proposed development were identified – by selecting PRIZM5 demographic segments. Each target renter group will typically look for a specific bundle of amenities. These are described at a high-level below and used as a basis for specific recommendations in the subsequent section.

Group	Attend	Participate	Amenity Implications
Young Professionals	Auto Shows, Baseball, Concerts & Festivals, Football, Hockey, Home/Craft Shows, Movie Theatres, Museums, Night Clubs	Arts/Crafts, Baseball, Basketball, Billiards, Bowling, Camping, Curling, Fishing/Hunting, Fitness Walks, Racquetball, Video Games	• auto shows and sports channels as standard in lounge • pool table in lounge • arts & crafts room • if space, separate multi-purpose exercise room
Middle Aged	Baseball, Concerts & Festivals, Hockey, Home/Craft Shows, Movie Theatres	Baseball, Basketball, Curling, Cycling, Fitness Classes, Gardening, Home Exercise, Photography, Skiing, Swimming, Volunteer Work	• ample resident storage • arts & crafts room • outdoor garden/balcony amenity space • fitness centre with scheduled fitness classes
Seniors/Empty Nesters	Baseball, Carnivals, Football, Hockey, Home/Craft Shows, Night Clubs	Baseball, Basketball, Curling, Cycling, Fitness Classes, Fitness Walks, Gardening, Golf, Home Exercise, Photography, Skiing	• ample resident storage • arts & crafts room • if space, separate multi-purpose exercise room • outdoor garden/balcony amenity space • fitness centre with scheduled fitness classes

Amenity Requirements by Target Renter Profile: Higher Income

Source: SVN Rock Advisors w/ Environics (2025)

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Group	Attend	Participate	Amenity Implications
Young Professionals	Auto Shows, Baseball, Concerts & Festivals, Hockey, Home/Craft Shows, Night Clubs	Baseball, Billiards, Bowling, Curling, Home Exercise, Racquetball, Soccer	• auto shows and sports channels as standard in lounge • pool table in lounge • arts & crafts room • fitness centre with scheduled fitness classes
Middle Aged	Auto Shows, Baseball, Carnivals, Football, Hockey, Home/Craft Shows, Museums	Arts/Crafts, Baseball, Basketball, Canoeing/Kayaking, Curling, Fishing/Hunting, Fitness Walks, Photography, Skiing, Swimming, Video Games	• auto shows and sports channels as standard in lounge • ample resident storage • arts & crafts room • if space, separate multi-purpose exercise room
Seniors/Empty Nesters	Auto Shows, Baseball, Football, Home/Craft Shows, Night Clubs, Symphonies/Operas	Basketball, Billiards, Curling, Fitness Walks, Golf, Health Club Activities, Home Exercise, Reading, Soccer, Video Games, Volunteer Work	• auto shows and sports channels as standard in lounge • pool table in lounge • arts & crafts room • if space, separate multi-purpose exercise room • ample resident storage • fitness centre with scheduled fitness classes • quiet lounge space for reading and relaxing

Amenity Requirements by Target Renter Profile: Lower Income

Source: SVN Rock Advisors w/ Environics (2025)

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14.2 – Specific Amenity Recommendations

The Consultant recommends that a total of 4,954 square feet of indoor amenity space and 4,000 square feet of outdoor amenity space be allocated within the proposed development. This represents approximately 29.3 square feet of indoor amenity space per unit, 23.7 square feet of outdoor amenity space per unit, and 53 square feet of amenity space per unit in total.

It is important to note that, while all indoor amenity space is allocated for the ground floor of building 1, 750 square feet of lobby/lounge space is allocated for Building 4, connecting to the entrance of the building.

The recommended breakdown of this amenity space is as follows:

Amenity	SF	Need?	Description
Lobby/Lounge	1,000 (Building 1) 750 (Building 4)	Need	The subject property should include an attractive lobby as the initial impression often colours potential tenants overall view of the property so it must be a positive one. This space will be connected to a lounge with couches to make it a multi-use space. This area should include Wi-Fi service, and a large television.
Fitness Centre	900	Need	Fitness centres should be full-service gyms, not just a room with a few exercise machines, so residents who do not want to travel to an outside gym don't need to.
Kitchen/Dining	1,100	Need	The Client's proposed property should include a kitchen/dining area where residents can gather to eat and potentially hold community events. This amenity offering is popular among seniors/empty nesters and is included in many similar developments to the subject asset. The ambiance should be modern, high-end, but inviting. This space could be connected to a lounge with couches to make it multi-use.
Party Room/Games Room	1,204	Nice to Have	In larger buildings with a larger space budget for amenities, a games room and party room can be a 'nice to have'. Typical furnishings include a billiard table and a cards table, as well as tables and chairs for residents to hold events.

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Outdoor Lounge	2,000	Need	Incorporating an outdoor lounge into an apartment project adds significant value and enhances the marketability of the property. It serves as a key lifestyle amenity that appeals to modern renters seeking not just a place to live, but a more connected, wellness-focused environment.
Outdoor Fire Pit	1,000	Nice to Have	Adding an outdoor fire pit to an apartment community is a smart investment that enhances both lifestyle and property value. Fire pits serve as a highly desirable social amenity, creating a warm, inviting atmosphere and making use of outdoor space that might've gone unused. This outdoor amenity space will also be attractive year-round—even during cooler months.
Outdoor BBQ Area	1,000	Nice to Have	Many apartments with outdoor amenity space choose to add an outdoor BBQ area to provide additional functionality and add to the marketability of the property. BBQ areas contribute to a more dynamic and active community environment, which photographs well and strengthens leasing efforts.

Recommended Amenities

Source: SVN Rock Advisors

AMENITY COMPARISON CHART

Comparable Properties	GYM/ FITNESS	LOUNGE	GAME ROOM	PARTY ROOM	SPORTS AREA/COURT	MEETING ROOM	DINING/ KITCHEN	PET FRIENDLY AMENITIES	OUTDOOR LOUNGE	BBQ	FIRE PIT
Subject Site	✓	✓	✓	✓			✓		✓	✓	✓
Rosewood Place											
Lakeview Apartments											
Fox Court											
River Park Manor		✓							✓		
Eastside Village Townhomes											
Richards Landing Senior Complex											
Churchill Residence											
347 Hyland Drive	✓	✓		✓		✓	✓			✓	
Campbell Place		✓		✓			✓				
Heritage Place	✓	✓			✓						
Lake Street											
157 Willow Avenue											
155 Willow Avenue											
1351 Paris Street											
The Continental											
One Ten Pim	✓	✓		✓		✓	✓	✓	✓	✓	
Hillcrest											
Royal Canadian Legion Branch 25		✓				✓	✓				
1168 Richards Street											

= Indoor Amenities = Outdoor Amenities

Amenity Comparison Chart

Source: SVN Rock Advisors

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14.3 – Resident Services

The following table lists recommended services to be featured as part of the development:

Fitness Classes	Fitness, aerobics, and yoga classes with local volunteers/instructors would be an excellent addition to fitness facilities.
Active Living / Community Activities	Community organized outdoor activities would be an excellent addition. Like an active living community, this would organize the residents into groups that would take part in outdoor excursions such as biking, trail walking, and hiking.
Wi-Fi	Offer free wi-fi internet connectivity in all common areas, such as the lobby, lounges, BBQ patio, fitness areas, etc.
Security	Renters will value creating a strong perception of security. Multiple security cameras should be installed in common areas, elevators, and parking areas. Keyless fob security access can be matched with cameras in the event of a security problem and allow staff to program customized access to various parts of the property. We recommend looking to the hotel industry for a sense of the future of security in rental apartment buildings.

Sample Resident Services

Source: SVN Rock Advisors

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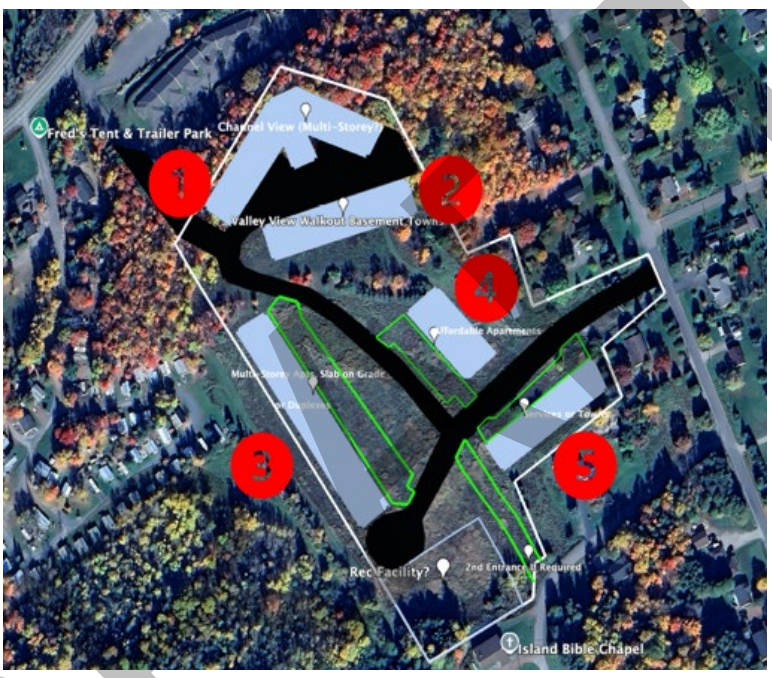
15 – UNIT SIZING AND MIX

"What's the optimal unit sizing and mix to build for my target renter?"

In light of the market analysis and the identified target resident profile, SVN has formulated the following recommended development program for the subject property, encompassing unit sizing and mix.



Proposed Development Site Plan

Source: SVN Rock Advisors

Each building at the subject site has been assigned a reference number, and the following unit mix summaries will address each building individually, followed by a full development summary. Building 1 is the 4-storey residential apartment; Building 2 is the 2-storey walkout basement townhouses; Building 3 is the first 1-storey townhouse block; Building 4 is the 3-storey apartment; and Building 5 is the second 1-storey townhouse block.

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Recommended Unit Mix - Building 1			
Unit Type	Unit Size (SF)	Unit Count	Unit Mix
1-Bed Affordable	750	15	16%
1-Bed	750	16	17%
2-Bed	1,031	47	51%
3-Bed	1,271	14	15%
TOTAL/AVG.:	**973**	**92**	**100%**

* + 3,000 SF of ground floor retail space

Building 1 - Apartment

Source: SVN Rock Advisors

Recommended Unit Mix - Building 2			
Unit Type	Unit Size (SF)	Unit Count	Unit Mix
1-Bed TH	1,000	9	29%
2-Bed TH	1,336	22	71%
TOTAL/AVG.:	**1,238**	**31**	**100%**

Building 2 – Walkout Basement Towns

Source: SVN Rock Advisors

Recommended Unit Mix - Building 3			
Unit Type	Unit Size (SF)	Unit Count	Unit Mix
2-Bed TH	1,202	4	24%
3-Bed TH	1,435	13	76%
TOTAL/AVG.:	**1,380**	**17**	**100%**

Building 3 – Slab on Grade Towns

Source: SVN Rock Advisors

Recommended Unit Mix - Building 4			
Unit Type	Unit Size (SF)	Unit Count	Unit Mix
1-Bed Affordable	750	2	12%
2-Bed	1,101	15	88%
TOTAL/AVG.:	**1,060**	**17**	**100%**

Building 4 - Apartment

Source: SVN Rock Advisors

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Recommended Unit Mix - Building 5			
Unit Type	**Unit Size (SF)**	**Unit Count**	**Unit Mix**
1-Bed TH	949	4	33%
2-Bed TH	1,303	8	67%
TOTAL/AVG.:	**1,185**	**12**	**100%**

Building 5 – Slab on Grade Towns

Source: SVN Rock Advisors

Recommended Unit Mix - Full Development			
Unit Type	**Unit Size (SF)**	**Unit Count**	**Unit Mix**
1-Bed Affordable	750	17	10%
1-Bed	750	16	9%
2-Bed	1,049	62	37%
3-Bed	1,281	14	8%
1-Bed TH	984	13	8%
2-Bed TH	1,312	34	20%
3-Bed TH	1,435	13	8%
TOTAL/AVG.:	**1,088**	**169**	**100%**

Recommended Unit Sizing and Mix – Full Development

Source: SVN Rock Advisors

Considering the analysis conducted, it is recommended to adopt a suburban-style unit mix and sizing for the subject property. Suburban-style unit mixes typically feature slightly larger units on average than more urban markets and have a higher proportion of two-bedroom or larger units. They are typically successful in secondary and tertiary markets, in addition to the exurbs of primary markets. Given the proposed market positioning of the Client's property and current development trends in the community, this style of unit sizing and mix will be appealing to prospective tenants.

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16 – PARKING AND STORAGE RECOMMENDATIONS

"How much parking and storage should I build? How much can I charge?"

16.1 – Parking Space Quantity

Projects that offer an adequate allocation of car parking tend to be favoured by both renters and lenders. As a general guideline, a parking ratio of one space per unit is considered appropriate. However, this ratio can be adjusted based on certain factors such as a high proportion of larger units or the project's suburban location. Additionally, if a project benefits from convenient access to public transportation, a lower parking ratio may be suitable. It is crucial to ensure that the parking provision meets the minimum requirements set by zoning regulations.

During the initial lease-up phase, it is important to closely monitor the allocation of parking spaces as they may fill up quickly. The Client should pay attention to the parking availability and consider reserving sufficient spaces for prospective tenants visiting the leasing office. It is also essential to enforce visitor parking regulations to prevent residents from utilizing those spaces. By managing the parking allocation effectively, the building can avoid running out of spaces and ensure a positive experience for both residents and visitors.

The municipal zoning bylaw requires a minimum parking coverage of 1.50 per rental unit and 1 stall per 200 square feet of retail space, which translates to a required municipal parking count of 269. The Consultant supports these municipal standards and is recommending no underground parking spaces and 269 surface parking spaces for this project. This level of parking is expected to adequately accommodate the needs of future residents.

Municipal Zoning Parking Ratios			
Unit Type	**Unit Count**	**Parking Ratio**	**# of Stalls**
1-Bed Affordable	17	1.5	25.5
1-Bed	16	1.5	24
2-Bed	62	1.5	93
3-Bed	14	1.5	21
1-Bed TH	13	1.5	19.5
2-Bed TH	34	1.5	51
3-Bed TH	13	1.5	19.5
Retail	3,000 SF	1 Stall Per 200 SF	15
Total Recommended Parking Allocation			**269**
Total Recommended Parking Ratio			**1.59**

Municipal Zoning Parking Ratios

Source: SVN Rock Advisors

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16.2 – Parking Charges

The price of car parking frequently corresponds with the rental rates being achieved at a given property, and new higher-end buildings often charge the highest car parking rates.

Based on the rental market survey of comparable properties, as well as the location of the subject site, a monthly fee of $50 for surface parking is recommended.

16.3 – Storage Locker Quantity and Charges

Storage locker uptake varies across markets and target renter groups. In urban areas with smaller units, uptake may surpass that of suburban markets. Yet, top-tier luxury renters, regardless of location, typically seek access to storage lockers due to downsizing from single-family homes to rental apartments.

Because of the recommended target resident profile, and unit mix and sizing, it is recommended that the Client provide 70 storage lockers, at an estimated monthly cost of $35.

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17 – RECOMMENDED RENTS

"How much can I charge in rents?"

Determining achievable rents for proposed rental buildings is challenging as the building does not yet exist, making direct comparisons with existing rentals or condominiums impractical. Accurately predicting pricing trends is unreliable. Therefore, setting potential rents necessitates a deep understanding of the market and the ability to gauge realistic, acceptable and absorptive rent levels.

Establishing appropriate rent levels is crucial for the success of any new apartment development. While expenses are influenced by various factors such as building size and quality, developers have control over rent setting. It is advantageous to set rents at the highest level that the market can support, to maximize new operating income (NOI). Increasing the rents by $100 per unit, for instance, positively impacts NOI as operating expenses remain consistent. For example, each $100 rent increase translates to a $24,000 value increase based on a 5% capitalization rate. Thus, setting rents optimally plays a vital role in maximizing the value and profitability of the apartment building.

$$\frac{\text{Net Operating Income}}{\text{Capitalization Rate}} = \textbf{Purchase Price}$$

$$\frac{\$100 \text{ Rent} \times 12 \text{ Months}}{5\% \text{ Capitalization Rate}} = \textbf{\$24,000 in Value}$$

How Rent Affects Value

Source: SVN Rock Advisors

It is important to understand that errors in setting rents will be amplified when a building is valued at a given capitalization rate, and it is therefore in the best interest of a developer to achieve the highest possible rents in a new rental apartment building right from the start.

Four variables typically affect rent setting:

1. Location.
2. Unit features and finishes.
3. Amenities.
4. Service offering.

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Of these variables, normally only the location of the subject property can be assessed with a degree of confidence because unit features, finishes and building amenities are usually unknown factors; this makes identifying potential achievable rents a challenge.

If the subject property were developed as the market leading rental apartment building—which would be achieved if units are well-designed and efficient, finishes are top-of-the-line, the overall design is modern, amenities are impressive and being the only property of its type in the market—then market-leading rents could be achieved.

SVN Rock Advisors projected rental rates for the Client's proposed development are summarized in the following table.

Recommended Unit Mix - Total Development							
Unit Type	**Unit Size (SF)**	**Unit Count**	**Unit Mix**	**Monthly Rent**	**Rent/SF**	**Total SF**	**Total Rent**
1 Bed Affordable	750	17	10%	$553	$0.74	12,750	$9,393
1 Bed	750	16	9%	$1,850	$2.47	12,000	$29,600
2 Bed	1,049	62	37%	$2,450	$2.33	65,069	$151,900
3 Bed	1,281	14	8%	$2,575	$2.01	17,940	$36,050
1 Bed TH	984	13	8%	$2,375	$2.41	12,797	$30,875
2 Bed TH	1,312	34	20%	$2,650	$2.02	44,624	$90,100
3 Bed TH	1,435	13	8%	$2,750	$1.92	18,655	$35,750
TOTAL/AVG.:	**1,088**	**169**	**100%**	**$2,270**	**$2.09**	**183,835**	**$383,668**

Proposed Market Units – Full Development

Source: SVN Rock Advisors

The projected rental rates for the subject site are charted relative to existing new rental comparables, below.

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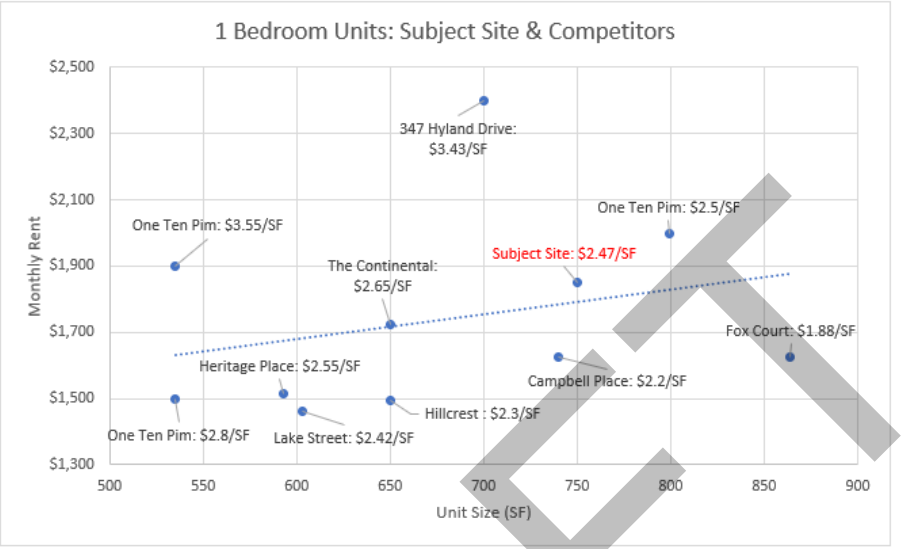
Rent Rationale – One-Bedroom Units



One Bedroom Unit Comparables				
Property	**Location**	**Unit Size**	**Monthly Rent**	**Rent/SF**
One Ten Pim	Sault Ste. Marie	535	$1,900	$3.55
347 Hyland Drive	Sudbury	700	$2,399	$3.43
One Ten Pim	Sault Ste. Marie	535	$1,500	$2.80
The Continental	Sault Ste. Marie	650	$1,725	$2.65
Heritage Place	Sault Ste. Marie	593	$1,515	$2.55
One Ten Pim	Sault Ste. Marie	799	$2,000	$2.50
Subject Site	Subject City	750	$1,850	$2.47
Lake Street	Sault Ste. Marie	603	$1,460	$2.42
Hillcrest	Sault Ste. Marie	650	$1,495	$2.30
Campbell Place	Sault Ste. Marie	740	$1,625	$2.20
Fox Court	Sault Ste. Marie	864	$1,625	$1.88
Richard's Landing Senior Complex	Richards Landing		$813	
Rosewood Place	Sault Ste. Marie		$1,495	
157 Willow Avenue	Sault Ste. Marie		$1,500	
155 Willow Avenue	Sault Ste. Marie		$1,500	
Royal Canadian Legion Branch 25	Sault Ste. Marie		$2,400	

Comparison Chart and Table: 1-Bed Rents

Source: SVN Rock Advisors

One-bedroom units at the subject site are sized at 750 square feet which is relatively on the larger side when compared to the other one-bedroom units within the surrounding area. For comparison, One Ten Pim in Sault Ste. Marie has a slightly larger sized unit at 799 square feet and achieves $1,850 in monthly rent at $2.47/SF. One Ten Pim also offers a 535 square foot unit for $1900, achieving the largest rent per square foot at $3.55. Similarly, 347 Hyland Drive in Sudbury provides a unit close in size to the subject site at 700 square feet, which achieves $2,399 in monthly rent at $3.43 per square foot. Richards Landing has a less competitive and established rental market compared to Sault Ste. Marie and Sudbury, and as such, the Consultant believes a monthly rent of $1,850 at a rent per square foot of $2.47 is achievable for one-bedroom units at the subject site. This assumes quality finishes and features with well-appointed amenity spaces to achieve these strong rental rates.

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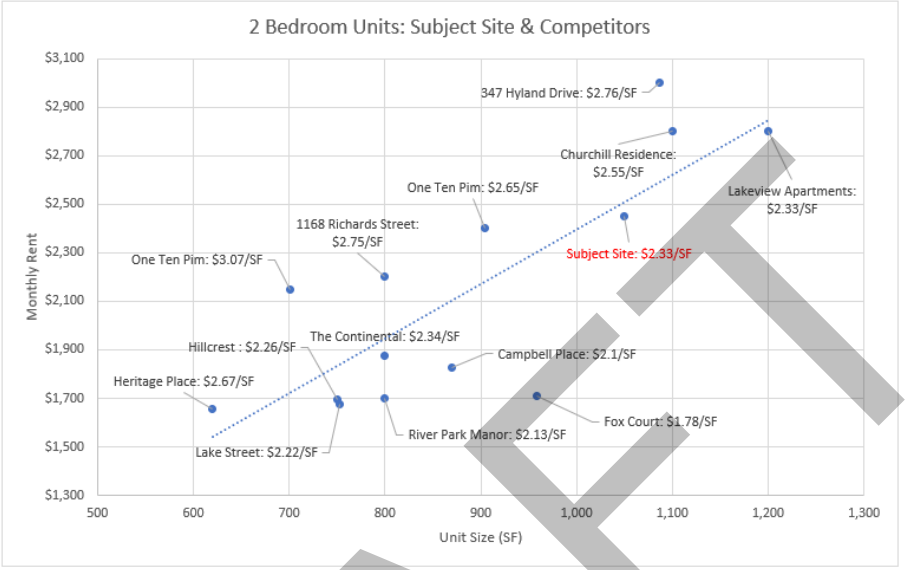
Rent Rationale – Two-Bedroom Units



Two Bedroom Unit Comparables				
Property	**Location**	**Unit Size**	**Monthly Rent**	**Rent/SF**
One Ten Pim	Sault Ste. Marie	701	$2,150	$3.07
347 Hyland Drive	Sudbury	1,086	$2,999	$2.76
1168 Richards Street	Richards Landing	800	$2,200	$2.75
Heritage Place	Sault Ste. Marie	620	$1,655	$2.67
One Ten Pim	Sault Ste. Marie	904	$2,400	$2.65
Churchill Residence	Sudbury	1,100	$2,800	$2.55
The Continental	Sault Ste. Marie	800	$1,875	$2.34
Subject Site	Subject City	1,049	$2,450	$2.33
Lakeview Apartments	Sudbury	1,200	$2,800	$2.33
Hillcrest	Sault Ste. Marie	750	$1,695	$2.26
Lake Street	Sault Ste. Marie	753	$1,675	$2.22
River Park Manor	Sault Ste. Marie	800	$1,700	$2.13
Campbell Place	Sault Ste. Marie	870	$1,825	$2.10
Fox Court	Sault Ste. Marie	959	$1,710	$1.78
Richard's Landing Senior Complex	Richards Landing		$927	
Rosewood Place	Sault Ste. Marie		$1,725	
157 Willow Avenue	Sault Ste. Marie		$1,850	
155 Willow Avenue	Sault Ste. Marie		$1,850	
Royal Canadian Legion Branch 25	Sault Ste. Marie		$2,500	
Royal Canadian Legion Branch 25	Sault Ste. Marie		$3,000	

Comparison Chart and Table: 2-Bed Rents

Source: SVN Rock Advisors

Two-bedroom units at the subject site sized at 1,049 square feet on average which is large in size relative to the other market comparable properties. For comparison, 1168 Richards Street, also located in Richards Landing, offers a smaller 800 square foot two-bedroom unit which achieves $2,200 in total rent or $2.75 per square foot. Churchill Residence in Sudbury offers a similarly sized unit at 1,100 square feet and achieves $2,800 in monthly rent and $2.55 per square foot. The Consultant believes a monthly rent of $2,450 on average at a rent per square foot of $2.33 is achievable for one-bedroom units at the subject site. While 1168 Richards Street achieves a higher rent per square foot than the subject site for two-bedroom units, they have a much smaller unit, and the subject site commands a larger chunk rent per month. Similar to the previous unit rationales, this assumes quality finishes and features with well-appointed amenity spaces to achieve these strong rental rates.

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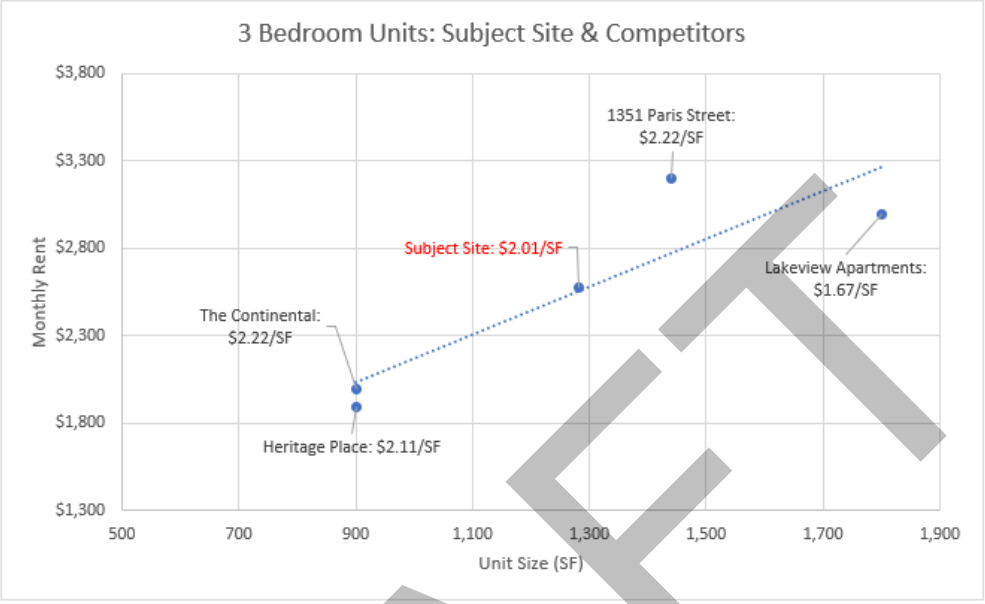
Rent Rationale – Three-Bedroom Units



Three Bedroom Unit Comparables				
Property	**Location**	**Unit Size**	**Monthly Rent**	**Rent/SF**
1351 Paris Street	Sudbury	1,440	$3,200	$2.22
The Continental	Sault Ste. Marie	900	$1,999	$2.22
Heritage Place	Sault Ste. Marie	900	$1,895	$2.11
Subject Site	Subject City	1,281	$2,575	$2.01
Lakeview Apartments	Sudbury	1,800	$3,000	$1.67

Three-bedroom units at the subject site sized at 1,281 square feet will likely achieve monthly rents of $2,575 with a rent per foot of $2.61 square feet. Units are an average size when compared to market comparable properties, however there are not many comparables for this unit type in surrounding municipalities, and units are large in comparison to comparable properties in Sault Sta. Marie. 1351 Paris Street, a rental apartment in Sudbury, offers a 1,440 square foot three-bedroom unit which achieves $3,200 in total rent or $2.22 per square foot. Heritage Place in Sault Ste. Marie offers a considerably smaller sized unit at 900 square feet and achieves $1,895 in monthly rent and $2.11 per square foot. Again, similar to the previous unit rationales, this assumes quality finishes and features with well-appointed amenity spaces to achieve these strong rental rates.

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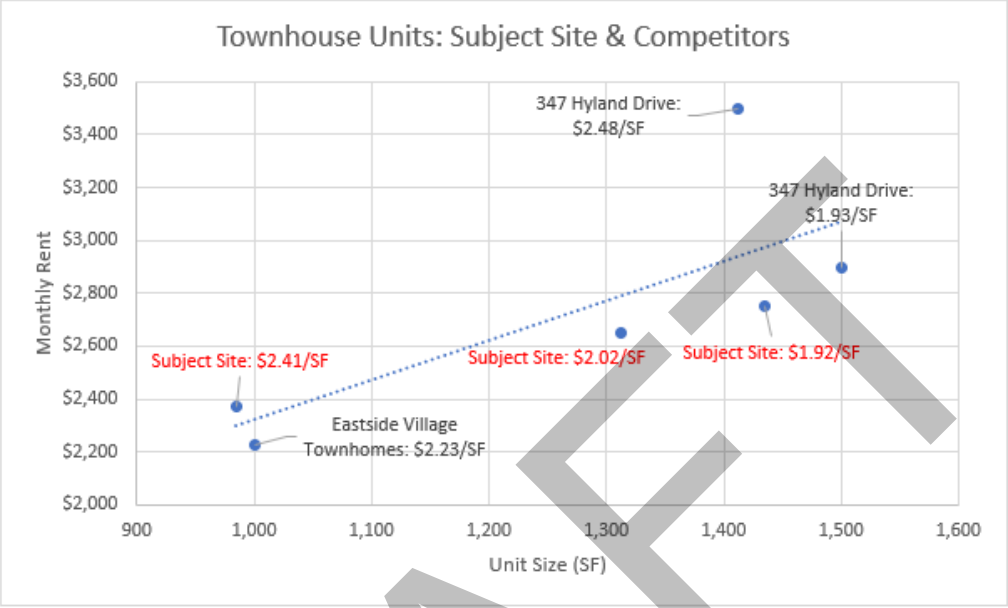
Rent Rationale – Townhouse Units



Townhouse Unit Comparables					
Property	**Type**	**Location**	**Unit Size**	**Monthly Rent**	**Rent/SF**
347 Hyland Drive	1/2 Den TH	Sudbury	1,412	$3,499	$2.48
Subject Site	1-Bed TH	Subject City	984	$2,375	$2.41
Eastside Village Townhomes	2/1 TH	Sault Ste. Marie	1,000	$2,225	$2.23
Subject Site	2-Bed TH	Subject City	1,312	$2,650	$2.02
347 Hyland Drive	1/1.5 Den TH	Sudbury	1,500	$2,899	$1.93
Subject Site	3-Bed TH	Subject City	1,435	$2,750	$1.92

Finally, due to a lack of comparable properties that offer townhouse units, all townhouse unit types have been combined into one rent rationale. At the subject site, one-bedroom townhouse units sized at 984 square feet should achieve monthly rents of $2,375, two-bedroom townhouse units sized at 1,312 should achieve monthly rents of $2,650, and three-bedroom townhouse units sized at 1,435 should achieve monthly rents of $2,750, resulting in rents per square foot of $2.41, $2.02, and $1.92 respectively. Overall, units are appropriately sized relative to market comparable properties, however there are not many comparables for this unit type in surrounding municipalities and townhouse unit sizes tend to vary drastically. 347 Hyland Drive, a rental apartment in Sudbury, offers a 1,412 square foot one-bedroom plus den townhouse unit which achieves $3,499 in total rent or $2.48 per square foot which is high relative to its unit size. 347 Hyland Drive also offers a less expensive one-bed plus den unit sized at 1,500 square feet that achieves monthly rents of $2,899, translating to $1.93 per square foot. Eastside Village Townhomes in Sault Ste. Marie offers a 1,000 square foot two-bed townhouse unit and achieves $2,225 in monthly rent and $2.23 per square foot. These rent recommendations assume quality finishes and features, and townhouse units will also have access to the amenities in the proposed development.

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Affordable Rental Rates: CMHC MLI Select Program

The MLI Select Program utilizes a data base of median renter household incomes to derive the affordable monthly rent for a given city. As a result, Sault Ste. Marie's median renter income which is identified by Statistics Canada in 2019 as $22,100. According to CMHC guidelines, 30% of an annual household income of $40,300 is considered affordable, indicating a maximum allowable rent of $553 per month for affordable units, regardless of unit type.

To qualify for maximum funding, the Client may obtain 50 points under the affordability criterion by designating 10% of the proposed development as affordable units. This allocation is sufficient to secure funding with an amortization period of up to 40 years. To reach the full 100-point threshold required for maximum funding, this can be paired with a Level 3 energy efficiency rating (at least 40% better than NECB/NBC), which provides an additional 50 points.

Alternatively, the Client may opt for a Level 1 energy efficiency rating (minimum 20% better than NECB/NBC), earning 20 points, combined with a Level 1 accessibility score (60–79% under the Rick Hansen Foundation Accessibility Certification), which contributes 30 points—together achieving the necessary 100 points. An example illustrating the 50-point allocation based on 10% affordable units is provided below.

Recommended Unit Mix - Total Development							
Unit Type	Unit Size (SF)	Unit Count	Unit Mix	Monthly Rent	Rent/SF	Total SF	Total Rent
1 Bed Affordable	750	17	10%	$553	$0.74	12,750	$9,393
1 Bed	750	16	9%	$1,850	$2.47	12,000	$29,600
2 Bed	1,049	62	37%	$2,450	$2.33	65,069	$151,900
3 Bed	1,281	14	8%	$2,575	$2.01	17,940	$36,050
1 Bed TH	984	13	8%	$2,375	$2.41	12,797	$30,875
2 Bed TH	1,312	34	20%	$2,650	$2.02	44,624	$90,100
3 Bed TH	1,435	13	8%	$2,750	$1.92	18,655	$35,750
TOTAL/AVG.:	**1,088**	**169**	**100%**	**$2,270**	**$2.09**	**183,835**	**$383,668**

Proposed Market & 10% Affordable Units

Source: SVN Rock Advisors

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Approach to Setting Rents

Units should be individually priced based on desirability factors such as height, views, sun load, unit features, unique layouts, design quirks, etc. Pricing units individually almost always mean higher overall revenues.

Setting rents is a dynamic process and initial pricing will be a “best guess” which will have to be adjusted on a weekly basis depending on rental activity and closing ratios during lease-up. The best way to monitor demand for units is to apply a closing ratio test. In a normal rental apartment market for every 100 telephone calls received by leasing agents, approximately 60 appointments are made, 50 appointments are kept, and 10 leases are closed, giving a closing ratio of 20%. By tracking leasing data carefully, the Client will be able to determine if traffic proportions and closing ratios match those presented in the table. If they align or show similarities, it indicates that the unit have been priced correctly.

Telephone Inquiries	100
Appointments Made	60
Appointments Kept	50
Leases Closed	10
CLOSING RATIO	**20%**

Closing Ratio

Source: SVN Rock Advisors

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18 – STABILIZED OPERATING PROFORMAS

Two high-level income/expense proformas for the proposed development at Catherine St. in Richards Landing, Ontario has been prepared – The first at Market Rents and the second based on 10% affordable units.

SVN Rock Advisors proformas use the direct capitalization method, which is considered the primary approach for the valuation of rental apartment buildings by the industry. The direct capitalization method is based on the assumptions that the motive for investing in an income-producing property is profit-oriented, and that value is created by expected income. In other words, the investment is expected to be acquired by an investor who would be willing to pay to receive an income stream plus reversion value from a property over time.

The direct capitalization method involves capitalizing a fully leased net operating income estimate. The capitalization rate selected should be based on recent transactions of recent properties, but caution must be used since new buildings will not achieve the same capitalization rate as some recently sold older properties with significant repositioning potential that have transacted at extremely low cap rates.

This approach is best utilized with stabilized assets where there is little volatility in the net income and the growth prospects are also stable. The value that results is what a typical purchaser in the market might reasonably pay for a particular property, however, it is not necessarily what the property might sell for.

This stabilized valuation is based on the following assumptions, which are industry standard and consistent across both proformas.

Rental Rates	Rental rates assume market-leading unit quality and amenities.
Parking Fees	Monitor local comparables and adjust fees accordingly (see previous discussion on car parking).
Submetering Reimbursement	It is assumed that individual units will be submetered, with tenants responsible for their own utility expenses. The developer is expected to receive a submetering reimbursement estimated at $20.00 per unit per month.
Vacancies	Assumed 3.00% vacancy rate. This is a conservative estimate.

Proforma Operating Assumptions: Revenues

Source: SVN Rock Advisors

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Repairs & Maintenance	Minimum $875 per unit annually, an industry-accepted number used for newly constructed rental apartments. We cannot speculate on exact figures for repairs and maintenance at this stage, as each building will differ in the level of maintenance required, given building features and amenities.
Utilities	The developer intends to install individual submeters for all residential units, with tenants responsible for their own in-suite utility consumption, including central heating/cooling, water, and hydro. The developer will be responsible for utility costs associated with common areas. SVN assumes that the building will incorporate energy-efficient features and that all units will be individually sub-metered. For the purpose of this pro forma, common area utility expenses are estimated at $560 per unit annually. It is noted that hydro rate fluctuations may occur due to evolving provincial policies and rebate programs.
Staffing	Given the quality of the project and staffing requirements, we assumed that staffing would be approximately $550 per unit annually.
Property Taxes	Per municipal mill rate for new multi-residential buildings in St. Joseph of 1.218133% *Property tax estimates to be confirmed by a property tax specialist.
Marketing	$175 per unit annually when stabilized, higher during initial lease-up, as many units will have to be leased at once.
Insurance	Through appraisal data analysed, we have seen that an insurance cost of approximately $450 per unit annually, is reasonable for new rental buildings. The client should procure its own insurance quotes, as well.
Property Management Fee	4.25% of gross revenues.

Proforma Operating Assumptions: Expenses

Source: SVN Rock Advisors

Note that all income and expense items are high-level estimates only, and are subject to change due to changing market conditions, amendments to the Client's plans, city approvals, etc. These rent grids and proformas are preliminary, hypothetical, and included for discussion only. Operating expenses and capitalization rates are constantly changing variables, and it is strongly recommended that the Client prepare detailed construction proformas and financial models before making development decisions.

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Estimated Stabilized Value - Richards Landing, SVN Conventional Rents

RECOMMENDED RENTAL RATES								
Unit Type	**Unit Size (SF)**	**Unit Count**	**Unit Mix**	**Total SF**	**Monthly Per Unit**	**$/SF**	**Monthly**	**Total Annual**
1 Bed	750	33	20%	24,750	$1,850.00	$2.47	$61,050	$732,600
2 Bed	1,049	62	37%	65,069	$2,450.00	$2.33	$151,900	$1,822,800
3 Bed	1,281	14	8%	17,940	$2,575.00	$2.01	$36,050	$432,600
1 Bed TH	984	13	8%	12,797	$2,375.00	$2.41	$30,875	$370,500
2 Bed TH	1,312	34	20%	44,624	$2,650.00	$2.02	$90,100	$1,081,200
3 Bed TH	1,435	13	8%	18,655	$2,750.00	$1.92	$35,750	$429,000
TOTAL/AVG.:	**1088**	**169**	**100%**	**183,835**	**$2,400.74**	**$2.21**	**$405,725**	**$4,868,700**

Total Residential Units: **169**

Net Rentable SF (Residential Units): **183,835**

Total Monthly Rent Revenue: **$405,725**

ESTIMATED OPERATING REVENUES	**#Spaces**	**Monthly Fee**	**Annual Per Unit**	**Monthly Per Unit**	**Monthly**	**Total Annual**	
Rent			$28,809	$2,401	$405,725	$4,868,700.00	
Parking Underground			$0	$0	$0	$0.00	
Parking Surface	269	$50	$955	$80	$13,450	$161,400.00	*rate determined from comparable properties
Submetering Remittance	169	$20	$240	$20	$1,400	$16,800.00	
Storage Lockers	70	$35	$174	$14	$2,450	$29,400.00	
SUB-TOTAL:			**$30,178**	**$2,515**	**$423,025**	**$5,076,300.00**	
Vacancies (Rent & Parking)	3.0%		-$905	-$75	-$12,691	-$152,289.00	
TOTAL:			**$29,273**	**$2,439**	**$410,334**	**$4,924,011.00**	

ESTIMATED OPERATING EXPENSES (INDUSTRY STANDARD)			Annual Per Unit	Monthly Per Unit	Monthly	Total Annual	% of Revenue	
Utilities (Common Area Only)	109	units @	$560	$47	$5,087	$61,040	1.2%	* Townhouses removed from utility calculati
Repairs & Maintenance	169	units @	$875	$73	$12,323	$147,875	3.0%	
Staffing	169	units @	$550	$46	$7,750	$93,000	1.9%	
Insurance	169	units @	$450	$38	$6,338	$76,050	1.5%	
Marketing	169	units @	$175	$15	$2,465	$29,575	0.6%	
Miscellaneous	169	units @	$130	$11	$1,831	$21,970	0.4%	
Management Fee	% of Gross Revenue	4.25%	$1,238	$103	$17,439	$209,270	4.3%	
Property Taxes (Per Municipal Rate)*	1.2181330%	$221,000	$2,692	$224	$37,913	$454,960	9.2%	
Reserve for Asset Replacement		2.00%	$583	$49	$8,207	$98,480	2.0%	
TOTAL:	**24.2%**		**$7,253**	**$604**	**$99,352**	**$1,192,221**	**24.2%**	
ESTIMATED NET OPERATING INCOME			**$22,019**	**$1,835**	**$310,982**	**$3,731,790**		

ESTIMATED VALUATION	**Residential CAP Rate**	**Est. Market Value Per Unit**	**Est. Market Value Per SF**	**Est. Market Value**
Market Value @	5.50%	$401,500	$369	**$67,851,000**
Market Value @	6.00%	$368,000	$338	**$62,196,000**
Market Value @	6.50%	$339,700	$312	**$57,412,000**

The Multi-Residential Tax Rate for the St. Joseph Township in 2024 is 1.218133%

Appropriate property tax rate should be confirmed by a specialist. SVN's property tax calculations are estimates only.

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Estimated Stabilized Value - Richards Landing, SVN Conventional Rents Including Affordable Units

RECOMMENDED RENTAL RATES								
Unit Type	**Unit Size (SF)**	**Unit Count**	**Unit Mix**	**Total SF**	**Monthly Per Unit**	**$/SF**	**Monthly**	**Total Annual**
1 Bed (Affordable)	750	17	10%	12,750	$552.50	$0.74	$9,393	$112,710
1 Bed	750	16	9%	12,000	$1,850.00	$2.47	$29,600	$355,200
2 Bed	1,049	62	37%	65,069	$2,450.00	$2.33	$151,900	$1,822,800
3 Bed	1,281	14	8%	17,940	$2,575.00	$2.01	$36,050	$432,600
1 Bed TH	984	13	8%	12,797	$2,375.00	$2.41	$30,875	$370,500
2 Bed TH	1,312	34	20%	44,624	$2,650.00	$2.02	$90,100	$1,081,200
3 Bed TH	1,435	13	8%	18,655	$2,750.00	$1.92	$35,750	$429,000
TOTAL/AVG.:	**1088**	**169**	**100%**	**183,835**	**$2,270.22**	**$2.09**	**$383,668**	**$4,604,010**

Total Residential Units: **169**

Net Rentable SF (Residential Units): **183,835**
Total Monthly Rent Revenue: **$383,668**

ESTIMATED OPERATING REVENUES	#Spaces	Monthly Fee	Annual Per Unit	Monthly Per Unit	Monthly	Total Annual	
Rent			$27,243	$2,270	$383,668	$4,604,010.00	
Parking Underground			$0	$0	$0	$0.00	
Parking Surface	269	$50	$955	$80	$13,450	$161,400.00	*rate determined from comparable properties
Submetering Remittance	169	$20	$240	$20	$1,400	$16,800.00	
Storage Lockers	70	$35	$174	$14	$2,450	$29,400.00	
SUB-TOTAL:			**$28,612**	**$2,384**	**$400,968**	**$4,811,610.00**	
Vacancies (Rent & Parking)	3.0%		-$858	-$72	-$12,029	-$144,348.30	
TOTAL:			**$27,753**	**$2,313**	**$388,938**	**$4,667,261.70**	

ESTIMATED OPERATING EXPENSES (INDUSTRY STANDARD)			Annual Per Unit	Monthly Per Unit	Monthly	Total Annual	% of Revenue	
Utilities (Common Area Only)	109	units @	$560	$47	$5,087	$61,040	1.3%	* Townhouses removed from
Repairs & Maintenance	169	units @	$875	$73	$12,323	$147,875	3.2%	
Staffing	169	units @	$550	$46	$7,750	$93,000	2.0%	
Insurance	169	units @	$450	$38	$6,338	$76,050	1.6%	
Marketing	169	units @	$175	$15	$2,465	$29,575	0.6%	
Miscellaneous	169	units @	$130	$11	$1,831	$21,970	0.5%	
Management Fee	% of Gross Revenue	4.25%	$1,174	$98	$16,530	$198,359	4.3%	
Property Taxes (Per Municipal Rate)*	1.2181330%	$208,000	$2,534	$211	$35,683	$428,198	9.2%	
Reserve for Asset Replacement		2.00%	$552	$46	$7,779	$93,345	2.0%	
TOTAL:	**24.6%**		**$7,000**	**$583**	**$95,784**	**$1,149,412**	**24.6%**	
ESTIMATED NET OPERATING INCOME			**$20,754**	**$1,729**	**$293,154**	**$3,517,850**		

ESTIMATED VALUATION	Residential CAP Rate	Est. Market Value Per Unit	Est. Market Value Per SF	Est. Market Value
Market Value @	5.50%	$378,500	$348	**$63,961,000**
Market Value @	6.00%	$346,900	$319	**$58,631,000**
Market Value @	6.50%	$320,200	$294	**$54,121,000**

The Multi-Residential Tax Rate for the St. Joseph Township in 2024 is 1.218133%

Appropriate property tax rate should be confirmed by a specialist. SVN's property tax calculations are estimates only.

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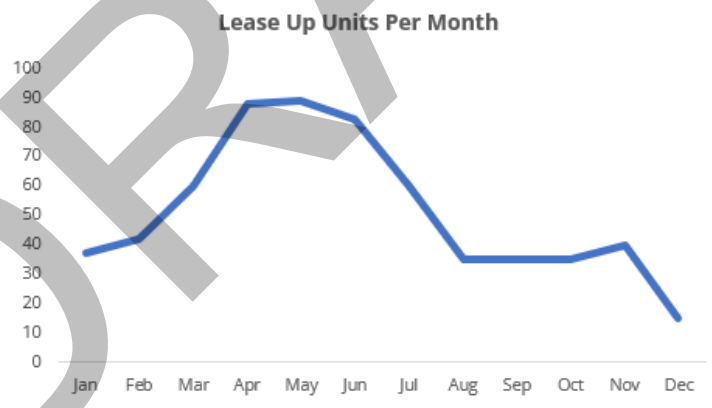
19 – LEASING AND PROJECT ABSORPTION

A wide range of factors affect leasing and absorption, some of which are beyond the control of developers. Such factors include seasonality and timing, project size, and target tenant profile, and are summarized below.

Seasonality

The time of the year when a rental project is delivered can have a significant effect on leasing since many renters don't like to move in the winter and most try to avoid extra spending during the Christmas season. The Consultant has direct experience with projects that started leasing at different times of the year and leasing activity typically looks like a bell curve with the highest amounts of monthly closes in spring and summer months. If a new rental building is delivered in the autumn, for example, leasing will typically be slow until spring, which means several months of low leasing activity, possibly increasing the duration of the overall lease-up. The graph below shows the real-world lease-up curve for a new rental project with four buildings. Note the seasonal variations: leasing activity declines in autumn, but spikes in spring and stays relatively strong over summer.



Lease Up Units Per Month

Source: SVN Rock Advisors

Unit Mix

Smaller units (i.e., bachelors and one-bedroom units) tend to lease quicker but turnover more. In contrast, larger units tend to lease slower but turnover less. This is because renters of larger units typically take longer to rent, especially in instances where homeowners are downsizing to rental apartments and need to sell their property.

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The table below summarizes recently absorbed new rental apartment buildings. Due to a lack of data, the following properties are located across Ontario and may not be a direct reflection of the lease-up environment in Richard's Landing.

Lease-Up and Absorption: Recent Fully Leased Buildings							
Project Name	City	Units	Lease Start Date	Leased-Up Date	Months on Market	Leased Units/Month	1st Occupancy
Muse at Morgan Park	South London	137	01/01/2024	14/06/2024	5	27	01/03/2024
The Taylor	Toronto	286	15/09/2022	30/09/2023	12	24	15/10/2022
The Ivy	Toronto	231	01/10/2023	22/08/2024	10	23	20/10/2023
Lumina	Kitchener	261	01/01/2024	01/01/2025	12	22	01/01/2024
SOHO Italia	The Glebe	210	01/11/2023	25/09/2024	10	21	01/12/2023
611 Davenport	Waterloo	161	01/04/2024	31/12/2024	8	20	01/04/2024
Capital Park 36 Robinson	Byward-Lower Town-Sandy Hill	153	15/07/2023	10/03/2024	8	19.1	01/08/2023
Vogue Residence	Waterloo	186	01/12/2022	01/12/2023	12	16	01/12/2022
Bloomingdale Mews 2	Kitchener	107	01/10/2023	14/05/2024	7	15	01/10/2023
2525 Bathurst St	Forest Hill	149	01/06/2024	04/03/2025	9	15	01/06/2024
197 Hespeler Rd	Cambridge	73	01/09/2023	01/02/2024	5	15	01/09/2023
Windwood II	Hamilton	99	01/05/2023	31/12/2023	7	14	15/05/2023
Windwood II	Toronto	99	01/05/2023	31/12/2023	7	14	15/05/2023
Civic 66	Kitchener	172	01/03/2023	18/04/2024	13	13	01/03/2023
The Laurels	Waterloo	221	01/11/2022	18/04/2024	17	13	01/11/2022
Sofia Yorkville	South London	222	01/04/2023	30/09/2023	18	12	01/04/2022
45 Railroad - South Tower	Downtown Brampton	180	01/11/2023	13/03/2025	16	11	01/11/2023
Rhythm	Westboro	213	25/11/2022	20/06/2024	19	11	25/11/2022
Imperium Apartments	Dundas	64	09/07/2024	22/01/2025	6	11	09/07/2024
Topaz London	South London	59	01/08/2023	12/02/2024	6	10	01/08/2023
The Village at Bronte Harbour	Oakville	241	01/04/2022	01/06/2024	26	9	01/04/2024
Parkvu Apartments	South London	104	01/08/2022	01/08/2023	12	9	01/08/2022
Slayte	Centretown	158	01/09/2022	13/06/2024	21	7.4	01/09/2022
929 Richmond	Bayshore	176	01/03/2022	31/03/2024	24	7.3	01/03/2022
The Chelsea	Downtown Hamilton	70	01/05/2024	03/03/2025	10	7	01/06/2024
The Fairbank	Eglinton West-Crosstown	141	01/07/2023	03/03/2025	20	7	01/09/2023
Collage West	Toronto	89	01/07/2023	22/05/2024	10	7	15/08/2023
Cricket Park - Phase 1	Toronto	27	01/05/2024	25/09/2024	4	7	01/05/2024
Canvas Lofts	Wellington Village- Hintonburg	86	01/06/2023	01/06/2024	12	6.8	01/06/2023
Bellevue North	Northeast/East London	60	01/12/2022	01/09/2023	9	7	01/12/2022
Spurline Flats	Waterloo	60	01/03/2023	11/02/2024	11	5	01/03/2023
Cliffside Apartments	Kingston Road West	29	01/04/2024	19/12/2024	8	2	01/04/2024

Sample Absorption Rates – Fully Leased Buildings

Source: SVN Rock Advisors

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Lease-Up and Absorption: Actively Leasing Buildings						
Project Name	City	Total Units	Released Units	Leased Units	Months on Market	Leased Units / Month
Aqui on King	Downtown London/UWO	268	268	214	8	27
StaxLyfe	Northeast/East London	81	81	24	1	24
Hyde Park Village - Phase 1	South London	144	144	104	6	17
The 203 Residences on Jarvis	Garden District	179	179	32	2	16
The Ledbury	Garden District	312	312	217	14	16
The Hampton	Yonge-Eglinton Corridor	255	255	230	17	14
The Lennox	The Glebe	239	239	146	11	13.3
Element	Westboro	252	252	200	15	13.3
LNX Residences	The Junction	393	393	330	25	13
SOHO at Central Park Building 1	Escarpment	136	136	13	1	13
The Elm	Garden District	240	240	182	14	13
Birch House at Canary Landing	Corktown-Distillery District	238	138	87	7	12
36 Brentcliffe	Leaside	262	262	204	17	12
870 Queenston Road	East Hamilton	219	219	58	5	12
Brightstone	Erin Mills	164	164	77	7	11
2475 Old Bronte	Palermo	135	69	31	3	10
80 Bond East	Downtown Oshawa	370	370	280	30	9
The Maverick	Kitchener	110	110	91	10	9
Bell Tower Residences	Mississauga City Centre	81	81	75	9	8
Vale Station	Waterloo	86	86	73	9	8
Picasso Place	North Richmond Hill	64	64	47	6	8
Toronto House	Entertainment District	426	426	55	8	7

Sample Absorption Rates – Actively Leasing Buildings

Source: SVN Rock Advisors

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These examples suggest that full occupancy can be achieved within 18 months, even for large rental buildings. Based on these absorption examples, the Consultant believes that an estimated average monthly absorption rate of 10 to 15 units per month is appropriate, with full occupancy expected within 11 to 17 months, assuming a density of 169 units. However, these ranges are contingent on the final density for new, high-quality rentals, supported by professional leasing and marketing. It should be noted that this estimate is subject to variation due to numerous factors, especially in large projects.

Note: It is important that the Client is prepared to dedicate time to lease the building fully to maximize achievable rents. A rapid lease-up suggests rents may be set below market rates, while a prolonged lease-up may indicate rents are set too high. Therefore, rent setting is a dynamic process.

20 – MARKETING RECOMMENDATIONS

This section describes general marketing recommendations for the subject property, but it is highly recommended that a detailed marketing plan is developed by the Client. PRIZM5 profiles provide powerful and detailed consumer behaviour data that should form the basis of any marketing plan or the subject property.

It is necessary that the Client begin planning marketing strategies and tools as early as possible in the development process, long before the "shovel hits the ground". It is recommended that a detailed marketing plan be developed which provides a step-by-step schedule for each "action item" with a timeline and instructions for implementation by each staff member on a daily, weekly, and monthly basis.

Timing

Marketing should ideally begin up to two years before product delivery to build a "buzz" and interest in the property and allow the creation of a "priority waiting list" (much like a waiting list for condo sales). Having a list of prospective renters ready before leasing begins helps leasing agents get a jump on leasing.

Absorption Studies

Absorption studies work by setting up a marketing campaign which attracts the attention of prospects. When prospects contact the Client, they are asked to provide information about preferences, including amenities, parking, pricing, services, etc. Absorption studies can also help gauge demand for new apartments, although in this case, depth-of-market is sufficiently deep to easily absorb the subject property if built. Absorption studies can also test marketing strategies and help identify target demographics. Although a fair amount of setup is required, absorption studies can provide plenty of useful data and a measure of confidence that the proposed project will be successful.

Website

The most important marketing tool for new rental apartment buildings is a carefully targeted website. Setting up a smart, searchable, and interactive website for the subject property is recommended. Websites should allow for secure online applications, pre-qualifying, payments, concierge services, and an event bulletin board. Examples of effective websites are The Harrison (www.myrental.ca), Vertica Services (www.vertica.ca), and many U.S. operators of luxury rentals.

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Social Media

Social media websites are another marketing tool often used in the rental apartment industry. Although opinions vary on the effectiveness of social media campaigns, they are an inevitable part of a comprehensive marketing strategy.

Internet Advertising

Numerous apartment listing sites operate in the GTA and should advertise on the better-quality sites. The Consultant has had significant success using online listings since the type of person who can afford to buy a condominium can afford to rent an upscale rental apartment.

Signage

Signage may not be a significant source of prospect traffic for the subject property, given its location in a smaller community, but regional billboards and other signage can be beneficial. It's crucial to have signage up during construction and pre-leasing stages to generate early interest in the property. Delaying signage until the building opens is ineffective. Early signage, such as construction banners and billboards promoting "luxury rentals coming soon," should be utilized. Once the building's exterior is completed, monument signage and permanent marketing signage should be installed.

Print Advertising

Although print advertising is declining in importance compared to online advertising and social media, there is still a role for smart print advertisements that grab the eye and reach the right target audience.

Other Advertising

Other advertising can mean just about anything including coupon promotions, handouts, flyers, media events, cookouts, sponsored trips, etc.

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APPENDIX A – TERMS OF REFERENCE

SVN Rock Advisors Inc. (the 'Consultant') has been retained to study the feasibility of developing new apartment building on the Client's site (herein referred to as the 'subject property') located at the following address:

Catherine St., Richards Landing, Ontario

The Consultant has undertaken a demand analysis and competitive market supply analysis, involving a review of demographic, economic, housing, and rental apartment market data to help the Client decide if the proposed project should proceed and to help identify appropriate rents, unit mixes, unit sizes, amenities and services, target renters, overall depth-of-market, potential commercial tenants, commercial rents, and phasing strategies.

Terms of Reference

Readers should refer to the signed project approval form between the Consultant and the Client for the detailed terms of reference for this 1A Feasibility Study.

Report Date

This report is dated June 2025. Market conditions change and this final report should be periodically reviewed considering changes in the market.

Intended Use

The intended use of this report is to provide the Client with a demand analysis and competitive market supply analysis, to assist in internal decision making regarding the feasibility of developing rental apartment units at the subject site.

Data Sources

Throughout this analysis, the Consultant focuses on what are indicators of demand and depth-of-market for new rental apartments. When these indicators are positive, the feasibility of developing new rental apartments is positive. The Consultant uses publicly available data published by the government and government organizations, plus data gathered by the Consultant in the field through contact with building representatives, superintendents, and leasing agents. The Consultant makes no guarantees that the data provided by these persons or organizations is accurate or comprehensive. The information contained within the Consultant's

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database is by no means complete, and its accuracy cannot be guaranteed. The Client should review data sources independently, and periodically update and confirm the data used in this report.

The Consultant used the following information sources in this study:

1. CMHC (Canada Mortgage and Housing Corporation) market reports: CMHC publishes data on individual rental apartment markets at the end of each year in their Rental Market Report series. CMHC captures purpose-built rentals only, in buildings with 6+ units.

2. Statistics Canada Census: Nationwide census is conducted every five years by Statistics Canada.

3. The Consultant's in-house database of rental apartment buildings across Canada: This in-house database contains over 60,000 rental apartment and student housing buildings across Canada and is one of the largest databases of its kind. The database is relational, meaning that the Consultant not only collects data on buildings, but also collects information about building owners, companies, and contacts. A dedicated team of database researchers maintain the integrity of the database daily and continually add new and existing rental buildings from across Canada. This database contains data collected from sources such as Geowarehouse, Realnet, Realtrack, and MPAC, as well as primary research conducted by the Consultant (such as telephone calls, mystery shops, and data collection from online sources.

4. Environics 2025 and PRIZM5 demographic profiles. A detailed description of these data sets is provided within the report.

5. Tours and telephone contacts with comparable properties: as noted throughout the report.

Report Limitations & Disclaimers

1. The Consultant uses data published and/or provided by governments and government related organizations, plus data gathered by the Consultant's research staff in the field via contact with building representatives. The Consultant makes no guarantees and does not undertake to confirm independently that the data provided by these persons and/or organizations is accurate or comprehensive. It is recommended that the Client independently review data sources and periodically update and confirm the data used in this report.

2. The Consultant's principals, management, staff, contractors, and associates are real estate consultants only, and observations, findings, analysis, and recommendations in this report are limited to the

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Consultant's area of knowledge, experience, and expertise. The Consultant's principals, management, staff, contractors, and associates do not possess the knowledge or expertise to check or verify planning, engineering, architectural, environmental, financial, or legal information or documents provided by the Client, and does not accept any legal or financial responsibility if the Client provides inaccurate, incomplete, or misleading information or documents.

3. The Consultant's observations, analysis, and recommendations in the report are the opinions of the firm's principals and management and the Client may interpret data and findings differently and reach different conclusions. The Consultant is not responsible for different interpretations or conclusions the Client may reach, nor any use by the Client of the findings or contents of the report for purposes other than intended by the Consultant.

4. The Consultant's report may contain recommendations, forward-looking statements, and projections and these are based on information available at the time of report preparation. The Consultant accepts no responsibility for the impact of changing market conditions and regulations on recommendations, forward-looking statements, and projections. It is recommended that the Client conduct independent and parallel due diligence to confirm or disconfirm recommendations, forward-looking statements, and projections.

5. The Consultant makes no guarantees, written or otherwise, that if the Client adopts or acts on the Consultant's observations, findings, analysis, or recommendations in the report that the Client's project will be successful, nor do we, as real estate consultants offering our opinion only, accept any legal or financial responsibility or liability for failure, underperformance, or termination of the Client's project. If the Client changes or alters the project significantly or if the housing market and general economy changes significantly after the date of this report, then the observations, findings, and recommendations in the report may no longer apply to the Client's project.

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APPENDIX B – REPORT TERMINOLOGY

Apartment Universe

CMHC uses this term to mean the entire supply of rental units which according to their rules includes purpose-built rental apartments and townhouses with 6 or more total units (excluding retirement housing and subsidized units). Only CMHC uses this term.

Apartments

Statistics Canada uses the term "apartment" to refer to any dwelling unit in a multi-unit building (with 3 or more units), whether rental or condominium. By contrast, among rental industry players and the public "apartment" means a rental apartment only. The exception is Quebec where apartments can mean either rental or condominium apartments and this is due to a language difference.

Census Tracts

The smallest practicable geographies used by Statistics Canada for which Census data is available. The total population of each tract ranges from a few hundred to a few thousand people. Periodically some tracts are split into multiple tracts when major population growth occurs. In some cases, the population of individual tracts is too small to be statistically reliable but for most tracts this is not a problem.

Chunk Rent

Chunk rent is the asking rent per unit per month. Renters always think in terms of chunk rent, i.e., $1,000 for a one-bedroom unit, as opposed to the rent per square foot.

City vs CMA

Statistics Canada separates most major cities into the city and the CMA, or Census Metropolitan Area. The CMA typically includes the city plus surrounding rural and suburban areas and should be considered a sort of 'regional' geography, whereas the city is the urban municipality only. The city boundary is typically the preferred geography for the purposes of studying rentals, although it is not always possible to use the city since CMHC does not always provide data for city separate from the CMA, often making it difficult to compare Census data from Statistics Canada with rental data from CMHC. This is an important point to understand and we provide examples below.

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CMHC Zones

These are groups of Census Tracts which CMHC combines to organize data for rentals in major cities. The City of Toronto, for example, is divided into seventeen CMHC zones. In some cities, including Toronto, the boundaries of zones appear to be arbitrary and do not seem to reflect local knowledge.

Condominiums

Commonly used term which refers to dwelling units in multi-unit buildings which are part of a condominium corporation and are privately owned (and bought and sold).

Conventional Renters

We use this term to describe 'average joe' renters usually between the ages of 25 and 65 who are seeking rental housing for themselves or their family. Seniors or students are not considered to be conventional renters.

Dwelling vs Household

Statistics Canada uses the terms dwelling and household almost interchangeably and in terms of quantity the two are the same. In other words, one dwelling unit equals one household in Census data.

Empty Nesters

Couples (some singles) aged 55 to 65 whose children have moved out and who are seeking to move from their large family homes to smaller or better-located rentals or condominiums. When renters, these are usually "lifestyle renters" since they can afford to own a house but prefer a rental apartment for location, convenience, size, and amenity advantages.

Lifestyle Renter

Renters who choose to rent (compare with "shelter renters"). Lifestyle renters are found everywhere but usually in larger cities and upscale suburban areas and typically prefer newer, high-quality rentals with desirable amenities and locations. Lifestyle renters can be of any age theoretically and are mostly upper-income persons who could afford to buy a house or condominium but choose to rent (in Toronto, for instance, upscale rentals are typically priced high enough to match or exceed hypothetical mortgage payments). Most newly constructed rentals in central Toronto target lifestyle renters and given how expensive housing of all types is in Toronto it is expected that future new rentals will have no choice but to target lifestyle renters too.

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New Apartment Construction

This term means any purpose-built rentals constructed from the year 1991 to date. Most newly constructed apartments have been built after the year 2000.

Primary Rental Market

CMHC uses this term to describe purpose-built rental apartments.

Purpose-Built Rentals

This term refers to rentals which were originally built as rentals only and continue to be leased as rentals. By comparison, condominiums which are being rented are not considered purpose-built rentals.

Rental Market

This term means the entire rental housing market for a city or town, including purpose-built rentals and condos and freehold dwellings being rented. Depending on the size of the city or town, this can mean thousands to hundreds of thousands of rental units.

Rental Sub-Market

This term means the rental market in a neighbourhood or section of a city or town and usually contains several hundred or a thousand rental units in 10 to 20 rental buildings.

Returns

Return refers to the rent per square foot, e.g., $2.50/SF. Developers often assume units should be priced based on rent per square foot, akin to how condominium units are priced (an 810SF condominium unit might achieve a higher sales price than an 800SF unit, for example). However, in rental apartments, renters primarily comprehend the chunk rent of a unit, so units should be priced accordingly (an 810SF rental unit is unlikely to fetch a different rental rate than an 800SF unit, for example).

Secondary Rental Market

CMHC uses this term to describe non-purpose-built rentals (i.e., “informal” rentals). Informal rentals are comprised of a pool of potential rental prospects who are renting outside the purpose-built rental supply because they are not finding what the rental housing, they need within the purpose-built rental supply for a variety of reasons including cost, quality, amenities, unit configurations, location, etc.

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Shelter Renters

Renters who rent for economic reasons and not by choice. Typically, these are renters with poor credit, low incomes, or other factors which mean they cannot acquire or support a mortgage and therefore have no choice but to rent. Compare with “lifestyle renters.”

Student Renters

Students enrolled in a post-secondary educational education, either university or college, who are renting in the rental market. Student renters are typically short-term renters who stay in a rental unit for 12 months but not longer than 4 years (university students) or 2 or 3 years (college students).

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APPENDIX C – RENTAL FORMULA

How does the purpose-built rental 'formula' differ from condos?

There are several fundamental differences in the formula for developing successful purpose-built rental product, versus the development of a condominium building. These differences stem from both:

1. Whoever is ultimately responsible for the long-term maintenance of the building.
2. Whoever is ultimately responsible for who the long-term tenancy of the building.

A condo developer's primary goal is to maximize short-term profit. This motivation leads to small units, cheaper finishes, minimal amenities, and construction techniques focused on lowering price points rather than long-term durability. A condo developer sells units through plans, meaning that actual finishes, unit sizes and configurations, amenities, etc. do not need to be particularly durable or functional. Parking is less of a financial concern for a condo developer than in purpose-built rental product as the cost of construction can be charged up front to a purchaser.

Conversely, the primarily goal of a long-term holder of purpose-built rental product is to maximize long-term profit. This is achieved through owning a building that is built with durability in mind: The interior finishing's must be practical and sufficiently durable to last through tenant turnover. The lobby and other amenities will be used to sell the building over and over to prospective tenants and as such must be high quality, and highly functional. Units must be rented through showing tenants the physical unit they will be living in. Accordingly, units will need to be larger than your typical condo unit, and extremely functional in terms of layout. The exterior/building construction must be durable to minimize long-term capital expenditure as this responsibility falls on the building owner. Construction should also focus on techniques that conserve energy, given that the building owner is also responsible for common area utilities.

From our review of the marketplace, we have identified two types of rental apartment developers:

1. The Merchant Apartment Builder
2. The Long-Term Apartment Builder

The merchant apartment builder develops purpose-built rental product to sell on to a long-term holder. As such, this builder is less concerned with the long-term durability of the product, however, remains concerned with the quality and functionality of units and amenities as the value of the building relies on strong rents to drive price, and low vacancy and turnover. These are driven by large, attractive, and functional units, and strong amenities.

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The long-term apartment builder constructs the purpose-built rental product with a focus on durability both inside and out, given that they expect to have to endure the cost of maintenance and capital expenditure over the long-term. These distinctions are summarized in the following table.

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Item	Condo Builder	Merchant Apartment Builder	Long-Term Rental Apartment Builder
Utilities	Bulk	Bulk/Sub-meter	Sub-meter what you can
Parking	Sells spots (some flexibility based on sales)	Minimum	Minimum and what is really needed
Amenities	Minimized, price-point driven	Like a condo developer	Relatively amenity-rich, aiming at what the tenant profile really wants, e.g. a dramatic gym for millennials, much smaller gym for seniors
Lobby	Units sold from plans, may be dramatic, but non-functional	Better than a condo	Focusing on arrival experience and sometimes the building being "hotel ready"
Move-In Date	As early as possible	Early, in tranches	Early, in tranches, OR once amenities and lobby finished
Ceiling Heights	Lowest you can get away with	Medium	High
Unit Specs	Varies, owner pays for upgrades	Medium	High, with a focus on durability
Size	Small, based on saleability	Medium	Targeted to the long-term demographics of the area, i.e. if the future resident is an older demographic, then developer will build larger apartments
Unit Mix	Driven by condo sales and developer experience	Driven by leasibility, i.e. the developer may not want to build larger units because take longer to lease and price/unit for sale hard for buyer to digest	Is prepared to build larger units than typical condos because the developer recognizes the lifestyle renter and longer-term profitability

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Rooftop Garden	No	No	Yes
Quality of Retail Tenant (Quality, not rent received)	Lowest you can get away with	Medium	High
Move-In Facilities	Lowest you can get away with	Medium	High
Finishes	Low quality	Lower quality	Highest quality
Green Energy	Unlikely to adopt	Unlikely to adopt	More likely to adopt, e.g. tankless water heaters
Sub-Metering	No	Yes	Yes
Sound Attenuation	Less focused, sells on plans	More focused	Very focused

Builder Comparison

Source: SVN Rock Advisors

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